ELM COMPANY
(A SAUDI JOINT STOCK COMPANY)
CONSOLIDATED FINANCIAL STATEMENTS
AND INDEPENDENT AUDITOR'S REPORT
FOR THE YEAR ENDED DECEMBER 31, 2025

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BDO الدكتور محمد العمري وشركاه
Dr. Mohamed Al-Amri & Co.

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Unified Number : 92 002 4254
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INDEPENDENT AUDITOR'S REPORT

To the Shareholders of Elm Company
(Saudi Joint Stock Company)

Opinion

We have audited the consolidated financial statements of **Elm Company** (the "Company") and its subsidiaries (together "the Group"), which comprise the consolidated statement of financial position as at 31 December 2025, and the consolidated statements of profit or loss, consolidated statement of comprehensive income, consolidated statement of changes in equity, and consolidated statement of cash flows for the year then ended and notes to the consolidated financial statements, including material accounting policy information.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at 31 December 2025 and its consolidated financial performance and its consolidated cash flows for the year then ended, in accordance with IFRS Accounting Standards that are endorsed in the Kingdom of Saudi Arabia and other standards and pronouncements issued by the Saudi Organization for Chartered and Professional Accountants ("SOCPA").

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing ("ISAs") that are endorsed in the Kingdom of Saudi Arabia. Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Consolidated Financial Statements* section of our report. We are independent of the Group in accordance with the requirements of International Code of Ethics for Professional Accountants (including International Independence Standards), endorsed in the Kingdom of Saudi Arabia (the "Code"), that are relevant to our audit of the consolidated financial statements and we have fulfilled our other ethical responsibilities in accordance with the Code's requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

الدكتور محمد العمري وشركاه
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Independent auditor's report on the audit of the consolidated financial statements of Elm Company for the year ended 31 December 2025 "Continued"

Key Audit Matters "Continued"

Key Audit Matter	***How our audit addressed the key audit matter***
Revenue from contracts with customers	
The Group's revenue mainly consists of digital business amounting ⃁ 6.7 billion, business process outsourcing amounting ⃁ 2.6 billion, and professional services amounting to ⃁ 182.4 million for the year ended 31 December 2025. We considered this a key audit matter due to the audit of revenues related to digital business is dependent on the use of information technology. In addition, the considerations of the agent and principal according to the International Financial Reporting Standard no.15 "Revenues from Contracts with Customers" require the management to analyze the terms and conditions of the contracts with the customers to assess whether the Group is principal or agent, which affects the Group's presentation of revenues on a gross or net basis.	Our procedures included the following: • We involved our IT specialists in testing the design, implementation, and operating effectiveness of controls related to revenue recognition for a sample of digital business. • We tested a sample of reports extracted from the IT systems used for digital business revenues and matched them with the amount recorded in the general ledger. • We traced a sample of digital business revenue with collected amounts in the Group's bank statements. • We tested a sample of transactions recorded before and after the year end to ensure that revenues were recorded in the appropriate period. • We audited those judgments taken by management to assess whether the Group is a principal or agent for a sample of the contracts. • We evaluated the adequacy and appropriateness of disclosures included in the consolidated financial statements
For more details, Refer to notes (2.5.1/3-5/ 5/35)	

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Independent auditor's report on the audit of the consolidated financial statements of Elm Company for the year ended 31 December 2025 "Continued"

Key Audit Matters "Continued"

Key Audit Matter	***How our audit addressed the key audit matter***
Expected credit losses provision for trade receivables and contract assets	
As at 31 December 2025, the Group's accounts receivable amounted to ⃁ 4.35 billion and contract assets balance amounted to ⃁ 1.34 billion, against which an impairment allowance of account receivables by ⃁ 748 million and for contract assets by ⃁ 170 million are maintained. The Group assesses at each reporting date whether the accounts receivable and contract assets are impaired. Management has applied an expected credit loss ("ECL") model to determine the appropriate allowance for impairment loss. Further, the Group performs an assessment based on a defined policy for certain categories of accounts receivables and contract assets. The determination of allowance for expected credit losses is based on certain assumptions that relate mainly to risk of default and expected loss rates. The Group applies judgement in making these assumptions and selecting the inputs to the impairment calculation, based on the Group's past history, market conditions, as well as forward looking estimates. We considered this as a key audit matter due to the level of judgment applied and estimates made in the application of the ECL.	Our procedures included the following: • We obtained an understanding of the process used by management in determining the allowance for expected credit losses for the accounts receivable and contract assets. • Involved internal specialists to review the expected credit loss (ECL) model and tested key assumptions in relation to forward-looking information, review the modelling inputs, techniques used and assessed overall adequacy of the model in light of the profile of accounts receivable and contract asset; • We tested the completeness and mathematical accuracy of the ECL model. • We assessed the assumptions used by management in connection to the determination of allowance for expected credit losses for certain categories of accounts receivable and contract assets. • We tested, on a sample basis, the calculation performed by management on allowance for expected credit losses for these categories of customers and contract assets. • We evaluated the adequacy and appropriateness of disclosures included in the consolidated financial statements.
For more details, Refer to notes (2-5-2 /18/19)	

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Independent auditor's report on the audit of the consolidated financial statements of Elm Company for the year ended 31 December 2025 "Continued"

Other information

Management is responsible for the other information. The other information comprises the information included in the annual report, but does not include the consolidated financial statements and our auditor's report thereon. The annual report is expected to be made available to us after the date of this auditor's report.

Our opinion on the consolidated financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audit of the consolidated financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

When we read the annual report, when made available to us, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with IFRS Accounting Standards that are endorsed in the Kingdom of Saudi Arabia and other standards and pronouncements issued by SOCPA and Regulations for Companies and the Company's By-laws, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with Governance, i.e., the Company's Board of Directors, are responsible for overseeing the Group's financial reporting process.

Auditor's responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs that are endorsed in the Kingdom of Saudi Arabia will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

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Independent auditor's report on the audit of the consolidated financial statements of Elm Company for the year ended 31 December 2025 "Continued"

Auditor's responsibilities for the Audit of the Consolidated Financial Statements "Continued"

As part of an audit in accordance with ISAs that are endorsed in the Kingdom of Saudi Arabia, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure, and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the group as a basis for forming an opinion on the group financial statements. We are responsible for the direction, supervision and review of the audit work performed for purposes of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period, and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

For Dr. Mohamed Al-Amri & Co.,

Gihad Mohamed Al-Amri
Certified Public Accountant
License No. 362

د. محمد العمري وشركاه - محاسبون قانونيون
س. ت : ١٠١٠٤٣٣٩٨٢
Riyadh
Certified Public Accountants
Dr. Mohamed Al-Amri & Co.

Riyadh, on: 5 March 2026 (G)
Corresponding to: 16 Ramadan 1447 (H)

ELM COMPANY
(A SAUDI JOINT STOCK COMPANY)
CONSOLIDATED STATEMENT OF PROFIT OR LOSS
FOR THE YEAR ENDED DECEMBER 31, 2025
All amounts in Saudi Riyals

	Note	December 31, 2025	December 31, 2024
Revenue	5	**9,464,884,988**	7,406,794,402
Cost of revenue	6	**(5,787,332,790)**	(4,375,702,533)
GROSS PROFIT		**3,677,552,198**	3,031,091,869
EXPENSES			
Research and development	7	**(105,377,708)**	(75,532,533)
Selling and marketing	8	**(403,362,640)**	(335,606,445)
Expected credit losses	37-A	**(105,710,338)**	(142,748,596)
General and administrative	9	**(748,519,572)**	(556,569,813)
Depreciation and amortization	11, 13, 14	**(254,424,318)**	(198,838,582)
Impairment of non-current assets	12, 14	**(30,210,394)**	(21,343,476)
OPERATING PROFIT		**2,029,947,228**	1,700,452,424
Finance cost	11, 13, 29	**(105,799,381)**	(28,447,260)
Income from murabaha deposits	21, 22	**134,684,755**	145,475,642
Share in results from investments in associates and joint ventures	16	**(4,461,958)**	(1,644,095)
Change in fair value of financial assets through profit or loss, net	16, 17	**23,692,080**	34,211,615
Other income, net	10	**57,973,148**	103,820,056
NET PROFIT BRFORE ZAKAT		**2,136,035,872**	1,953,868,382
Zakat, net	33	**(45,710,979)**	(127,019,914)
NET PROFIT		**2,090,324,893**	1,826,848,468
Net profit/(loss) attributable to:			
Equity holders of the parent company		**2,090,353,004**	1,826,871,586
Non-controlling interests		**(28,111)**	(23,118)
		2,090,324,893	1,826,848,468
Earnings per share from net profit attributable to equity holders of the parent company:			
Basic	28	**26.86**	23.51
Diluted	28	**26.80**	23.44

Chief Financial Officer | Chief Executive Officer | Chairman

ابراهيم

The accompanying notes from (1) to (43) form an integral part of these consolidated financial statements

ELM COMPANY
(A SAUDI JOINT STOCK COMPANY)
CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED DECEMBER 31, 2025
All amounts in Saudi Riyals

	Note	December 31, 2025	December 31, 2024
NET PROFIT		**2,090,324,893**	1,826,848,468
OTHER COMPREHENSIVE INCOME			
Items that may be reclassified subsequently to profit or loss:			
Foreign currency translation difference		**(734,012)**	215,146
Items that will not be reclassified subsequently to profit or loss:			
Share of other comprehensive loss from associates and joint ventures	16	**(52,937)**	-
Change in fair value of financial assets through other comprehensive income	17	**(24,242,118)**	(16,059,887)
Re-measurement of end of service benefits provision	30	**(28,414,427)**	(2,927,075)
TOTAL OTHER COMPREHENSIVE LOSS		**(53,443,494)**	(18,771,816)
TOTAL COMPREHENSIVE INCOME		**2,036,881,399**	1,808,076,652
Total comprehensive income attributable to:			
Equity holders of the parent company		**2,036,909,510**	1,808,099,770
Non-controlling interests		**(28,111)**	(23,118)
		2,036,881,399	1,808,076,652

Chief Financial Officer

Chief Executive Officer

Chairman

ELM COMPANY
(A SAUDI JOINT STOCK COMPANY)
CONSOLIDATED STATEMENT OF FINANCIAL POSITION
AS AT DECEMBER 31, 2025
All amounts in Saudi Riyals

	Note	December 31, 2025	December 31, 2024
ASSETS			
NON-CURRENT ASSETS			
Property and equipment	11	**689,435,290**	518,080,773
Capital work in progress	12	**196,030,648**	51,062,073
Right-of-use assets	13	**596,096,775**	557,750,104
Intangible assets	14	**251,081,318**	70,612,641
Finance lease receivables – non current	15	**45,470,575**	73,409,363
Investments in associates and joint ventures	16	**41,725,812**	6,687,350
Other financial assets	17	**227,597,182**	230,879,131
Long term prepaid expenses	20	**38,010,740**	19,070,247
TOTAL NON-CURRENT ASSETS		**2,085,448,340**	1,527,551,682
CURRENT ASSETS			
Accounts receivable	18	**3,606,503,783**	2,895,222,777
Contract assets	19	**1,173,197,325**	641,667,693
Finance lease receivables - current	15	**27,584,336**	21,399,046
Prepaid expenses and other current assets	20	**447,281,090**	310,748,048
Other financial assets	17	**404,602,319**	480,597,586
Murabaha deposits	21	**2,306,000,000**	1,426,071,000
Cash and cash equivalents	22	**1,836,371,678**	2,250,797,179
TOTAL CURRENT ASSETS		**9,801,540,531**	8,026,503,329
TOTAL ASSETS		**11,886,988,871**	9,554,055,011
EQUITY AND LIABILITIES			
EQUITY			
Share capital	23	**800,000,000**	800,000,000
Treasury shares	25	**(273,857,280)**	(293,112,576)
Other reserves	27	**32,931,753**	60,669,508
Retained earnings		**3,062,121,606**	4,725,547,762
Equity attributable to equity holders of the parent company		**3,621,196,079**	5,293,104,694
Non-controlling interests		**112,771**	140,882
TOTAL EQUITY		**3,621,308,850**	5,293,245,576
LIABILITIES			
NON-CURRENT LIABILITIES			
Long term borrowing – non current	29	**1,520,000,000**	-
Lease liabilities – non current	13	**543,749,068**	481,013,080
End of service benefits provision	30	**596,341,932**	387,235,689
TOTAL NON-CURRENT LIABILITIES		**2,660,091,000**	868,248,769
CURRENT LIABILITIES			
Long term borrowing – current	29	**453,408,021**	-
Accounts payable and other current liabilities	31	**3,481,748,449**	2,479,580,023
Contract liabilities	32	**1,407,441,418**	609,806,315
Zakat	33	**153,260,920**	218,172,525
Lease liabilities - current	13	**109,730,213**	85,001,803
TOTAL CURRENT LIABILITIES		**5,605,589,021**	3,392,560,666
TOTAL LIABILITIES		**8,265,680,021**	4,260,809,435
TOTAL EQUITY AND LIABILITIES		**11,886,988,871**	9,554,055,011

Chief Financial Officer	Chief Executive Officer	Chairman

The accompanying notes from (1) to (43) form an integral part of these consolidated financial statements

ELM COMPANY
(A SAUDI JOINT STOCK COMPANY)
CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED DECEMBER 31, 2025
All amounts in Saudi Riyals

		Equity attributable to the equity holders of the parent company							
	Note	Share capital	Treasury shares	Statutory reserve	Other reserves	Retained earnings	Total	Non-controlling interests	Total equity
Balance as at January 1, 2024		800,000,000	(294,758,400)	174,708,101	12,826,478	3,301,731,675	3,994,507,854	164,000	3,994,671,854
Net profit		-	-	-	-	1,826,871,586	1,826,871,586	(23,118)	1,826,848,468
Other comprehensive loss		-	-	-	(18,771,816)	-	(18,771,816)	-	(18,771,816)
Total comprehensive income		-	-	-	(18,771,816)	1,826,871,586	1,808,099,770	(23,118)	1,808,076,652
Treasury shares settlement	25	-	1,645,824	-	(6,611,224)	4,965,400	-	-	-
Share-based payment transactions	26	-	-	-	73,226,070	-	73,226,070	-	73,226,070
Dividends		-	-	-	-	(582,729,000)	(582,729,000)	-	(582,729,000)
Transferred from statutory reserve		-	-	(174,708,101)	-	174,708,101	-	-	-
Balance as at December 31, 2024		800,000,000	(293,112,576)	-	60,669,508	4,725,547,762	5,293,104,694	140,882	5,293,245,576
Balance as at January 1, 2025		**800,000,000**	**(293,112,576)**	-	**60,669,508**	**4,725,547,762**	**5,293,104,694**	**140,882**	**5,293,245,576**
Net profit		-	-	-	-	**2,090,353,004**	**2,090,353,004**	**(28,111)**	**2,090,324,893**
Other comprehensive loss		-	-	-	**(53,443,494)**	-	**(53,443,494)**	-	**(53,443,494)**
Total comprehensive income		-	-	-	**(53,443,494)**	**2,090,353,004**	**2,036,909,510**	**(28,111)**	**2,036,881,399**
Treasury shares settlement	25	-	**19,255,296**	-	**(48,496,268)**	**29,240,972**	-	-	-
Share-based payment transactions	26	-	-	-	**74,202,007**	-	**74,202,007**	-	**74,202,007**
Dividends	41	-	-	-	-	**(661,212,437)**	**(661,212,437)**	-	**(661,212,437)**
Impact of acquisition through business combination under common control	40	-	-	-	-	**(3,121,807,695)**	**(3,121,807,695)**	-	**(3,121,807,695)**
Balance as at December 31, 2025		**800,000,000**	**(273,857,280)**	-	**32,931,753**	**3,062,121,606**	**3,621,196,079**	**112,771**	**3,621,308,850**

Chief Financial Officer

Chief Executive Officer

Chairman

ابراهيم

The accompanying notes from (1) to (43) form an integral part of these consolidated financial statements

ELM COMPANY
(A SAUDI JOINT STOCK COMPANY)
CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED DECEMBER 31, 2025
All amounts in Saudi Riyals

	Notes	December 31, 2025	December 31, 2024
CASH FLOWS FROM OPERATING ACTIVITIES			
Net profit before zakat		**2,136,035,872**	1,953,868,382
Adjustments for non-cash items:			
Depreciation and amortization	11, 13, 14	**254,424,318**	198,838,582
Amortization of long term prepaid expenses	20.1	**67,260,024**	15,978,712
Impairment of non-current assets	12, 14	**30,210,394**	21,343,476
Expected credit losses	37-A	**105,710,338**	142,748,596
End of service benefits provision	30	**69,506,771**	77,895,144
Share based payment transactions	26	**74,202,007**	73,226,070
Finance cost	11, 13, 29	**105,799,381**	28,447,260
Income from murabaha deposits	21.22	**(134,684,755)**	(145,475,642)
Share in results from investments in associates and joint ventures	16	**4,461,958**	1,644,095
Change in fair value of financial assets through profit or loss, net	16, 17	**(23,692,080)**	(34,211,615)
Other expense/(income), net		**8,546,878**	(63,537,769)
		2,697,781,106	2,270,765,291
Working capital adjustments:			
Accounts receivable	18	**(481,019,256)**	(717,919,542)
Contract assets	19	**(177,156,910)**	207,873,087
Prepaid expenses and other current assets		**(30,844,427)**	120,126,413
Accounts payable and other current liabilities		**465,636,618**	(324,779,331)
Contract liabilities		**231,991,172**	106,098,925
Cash from operations		**2,706,388,303**	1,662,164,843
Zakat paid	33	**(113,689,400)**	(92,460,708)
Proceeds from income from murabaha deposits		**142,867,423**	143,910,435
End of service benefits paid	30	**(72,823,120)**	(54,275,657)
Net cash generated from operating activities		**2,662,743,206**	1,659,338,913
CASH FLOWS FROM INVESTING ACTIVITIES			
Murabaha deposits		**(779,929,000)**	1,607,785,901
Purchase of property, equipment and intangible assets	11, 14	**(144,205,897)**	(62,749,712)
Payments for capital work in progress	12	**(185,845,000)**	(165,399,192)
Additions to investments in associates and joint ventures	16	**(19,594,200)**	(4,530,000)
Additions to long term prepaid expenses	20.1	**(98,025,910)**	(22,737,301)
Investments in other financial assets	17	**(18,664,590)**	(752,285,622)
Proceeds from other financial assets	17	**100,000,000**	304,000,000
Proceeds from finance lease receivables		**29,967,602**	-
Payment for acquisition of subsidiary, net of cash acquired	40	**(3,141,074,348)**	-
Changes in restricted cash	22.3	**25,458,318**	-
Net cash (used in) / generated from investing activities		**(4,231,913,025)**	904,084,074
CASH FLOWS FROM FINANCING ACTIVITIES			
Addition to long term borrowing	29	**1,900,000,000**	-
Payment of principal portion of lease liabilities	37-B	**(70,326,367)**	(81,286,841)
Payment of liabilities for purchasing property	11	**-**	(25,396,063)
Finance costs paid		**(13,718,984)**	(7,607,646)
Dividends paid	41	**(661,212,437)**	(582,729,000)
Net cash generated from / (used in) financing activities		**1,154,742,212**	(697,019,550)
Net change in cash and cash equivalents		**(414,427,607)**	1,866,403,437
Cash and cash equivalents at the beginning of the year	22	**2,250,797,179**	384,394,607
Net foreign currency exchange		**2,106**	(865)
Cash and cash equivalents at the end of the year		**1,836,371,678**	2,250,797,179

Chief Financial Officer | Chief Executive Officer | Chairman

The accompanying notes from (1) to (43) form an integral part of these consolidated financial statements

All amounts in Saudi Riyals

1. INFORMATION ABOUT THE COMPANY AND ITS SUBSIDIARIES

Elm Company, formerly known as (Al Elm Information Security Company) (‹the Company›) is a Saudi Joint Stock Company, incorporated in the city of Riyadh, Kingdom of Saudi Arabia on Shawwal 24, 1408 H (corresponding to June 8, 1988) and is registered with commercial registration no. 1010069210.

The Company's activities are represented in providing information security services, working in the field of electronic business, consulting services, exchanging credit information, managing and operating data and information centers, importing, developing, selling and maintaining hardware, software, information systems and communication networks, providing sites for buying and selling via the Internet, and working in the field of training and workforce development.

The Company owns a branch under commercial registration no. 4030446307 dated Jumada Al-Thani 12, 1443 H (corresponding to December 16, 2021), in Jeddah.

Subsidiaries

The Company's subsidiaries are as follows:

Name of subsidiary	Country of incorporation	Effective shareholding percentage	
		December 31, 2025	December 31, 2024
Saudi Information Exchange Company (1)	Kingdom of Saudi Arabia	100%	100%
Emdad Al Khebrat Company Limited (2)	Kingdom of Saudi Arabia	100%	100%
Elm Technical Investment Company (3)	Kingdom of Saudi Arabia	100%	100%
Future Resources Company Limited (4)	Kingdom of Saudi Arabia	100%	100%
Asdam Digital Company (5)	United Arab Emirates	100%	100%
Elm Arkan Company (6)	Kingdom of Saudi Arabia	60%	60%
Elm Europe Limited (7)	United Kingdom	100%	100%
Umrah Company for Specialized Services (8)	Kingdom of Saudi Arabia	100%	100%
Elm Investment Ltd (9)	Cayman Islands	100%	-
Digital Elm SPC (10)	Oman	100%	-
Elm Technology Investment Company/Jordan (11)	The Hashemite Kingdom of Jordan	100%	-
Thiqah Business Services Company (12)	Kingdom of Saudi Arabia	100%	-
Asel Business Services Company (13)	Kingdom of Saudi Arabia	100%	-
Thiqah Investment Company (14)	Kingdom of Saudi Arabia	100%	-
Ahad Business Services Company (15)	Kingdom of Saudi Arabia	100%	-
Digital Real Estate Solutions Company (16)	Kingdom of Saudi Arabia	100%	-
Matching Solutions IT Company (17)	Kingdom of Saudi Arabia	100%	-
Aamaly Company (18)	Kingdom of Saudi Arabia	100%	-
Health Recruitment Expert Company (19)	Kingdom of Saudi Arabia	100%	-
Managed Solutions for Business Services (20)	Kingdom of Saudi Arabia	82%	-

1. Saudi Information Exchange Company, a limited liability company registered with commercial register number 1010274503 and headquartered in Riyadh, was established through a Royal Decree No. M/39 dated Rajab 7, 1430 H (corresponding to December 31, 2009). The company operates in the sectors of information and communications technology, installation, maintenance and support and support programs, systems and applications of communications and information technology, establishing, developing, operating and managing communications and information technology facilities and participating in the development, creation, operation, maintenance, and management of technical areas.

2. Emdad Al Khebrat Company Limited, a limited liability company registered under commercial registration number 1010414975 on Rajab 22, 1435 H (corresponding to May 21, 2014), and headquartered in Riyadh. The principal activity of the company is to manage call centers, service centers and to provide consultation services in the field of electronic business, operation and maintenance, import, export, and sale of devices, hardware, software, systems, and workforce development.

1. INFORMATION ABOUT THE COMPANY AND IT SUBSIDIARIES (CONTINUED)

Subsidiaries (continued)

3. Elm Technical Investment Company, a limited liability company registered under commercial registration number 1010599252 on Ramadan 11, 1440 H (corresponding to May 16, 2019), with its headquarters in Riyadh. The main activities of the company are to manage call centers, service centers, computer systems programming, computer consultancy activities, information technology services, data processing, website hosting, and retail sale of information and communication equipment in specialized stores.

4. Future Resources Company Limited, a limited liability company registered under commercial registration number 1010606896 on Rabi Al Awwal 8, 1441 H (corresponding to November 5, 2019), and headquartered in Riyadh. The main activities of the company are systems analysis, design and programming of special software, maintenance of software and web page design, investment activities for the special account of the concerned units, including venture capital companies, investment clubs, and providing of senior management consulting services.

5. Asdam Digital Company, a free zone limited liability company under the Dubai Commercial Companies Law, registered under commercial registration no. 99019, dated Safar 9, 1443 H (corresponding to September 16, 2021), headquartered in Dubai. The main activities of the company are consulting services, customer service, developing and providing solutions, and supporting service providers for technical systems.

6. Elm Arkan Company, a limited liability company registered under commercial registration number 1010209530, dated Rabi' Thani 15, 1426 H (corresponding to May 23, 2005), and headquartered in Riyadh. The company's main activities are systems analysis, design and programming of special software, application development, and financial technology solutions, and providing service management and control of communications and information networks, cybersecurity and the establishment of infrastructure for hosting websites on the internet, data processing services and related activities.

7. Elm Europe Limited, a private limited company, registered under commercial registration number 14554402, dated Jumada al-Awwal 28, 1444 H (corresponding to December 22, 2022), headquartered in London. The main activities of the company are conducting research and development activities related to emerging technologies.

8. Umrah Company for Specialized Services, a single person limited liability company registered under commercial registration number 1010656805 on Safar 12, 1442 H (corresponding to September 30, 2020), and headquartered in Riyadh. The principal activities of the company are bus transport of passengers between the cities, catering services for Hajj and Umrah, inspection of different systems and measuring their performance, providing marketing services on behalf of others, marketing and reservation of tourist accommodation units, reception, and farewell services for pilgrims.

9. Elm Investment, a limited liability company registered under commercial registration number 214523581715 and headquartered in George Town, was established on Rajab 6, 1446H (corresponding to January 6, 2025). The company operates in the fields of international investments and equity acquisition in other companies.

10. Digital Elm SPC, a company registered under commercial registration number 1596952 and headquartered in Muscat, was established on Sha'ban 20, 1446H (corresponding to February 19, 2025). It operates in the fields of information technology, systems analysis, database and web development, data center management and operation for third parties, as well as IT and cybersecurity consulting.

11. Elm Technology Investment Company/Jordan, a limited liability company registered under commercial registration number 79480 and headquartered in Amman, was established on Jumada al-Awwal 28, 1447H (corresponding to November 19, 2025). The main activities of the company are to manage call centers, service centers, computer systems programming, computer consultancy activities, information technology services, data processing, website hosting and related activities.

12. On Shawwal 23, 1446H (corresponding to April 21, 2025), the Group completed its acquisition of 100% of the share capital of Thiqah Business Services Company (‹Thiqah›). Thiqah is a single person limited liability company registered in Riyadh, Kingdom of Saudi Arabia under commercial registration number 1010332510 dated Rabi Al Thani 25, 1433H (corresponding to March 18, 2012). Thiqah and its subsidiaries (collectively referred to as the ‹Thiqah Group›) are engaged in providing consulting services in the field of high management, e-business and exchange of information, providing websites for sale and purchase through the internet, working in the field of training and development of manpower, establishing and repair of buildings, electronic publishing, electronic newspaper and financial technology services. For details of the acquisition refer to (Note 40).

    The following are the details of subsidiaries acquired as part of the Thiqah acquisition:

13. Asel Business Services Company, a limited liability company registered under commercial registration number 1010934722, dated Jumada al-Awwal 29, 1439H (corresponding to February 15, 2018), and headquartered in Riyadh. The company's activities are maintenance and operation of buildings, systems analysis, design and programming of special software, maintenance of software, web page design and consulting services.

1. INFORMATION ABOUT THE COMPANY AND IT SUBSIDIARIES (CONTINUED)

Subsidiaries (continued)

The following are the details of subsidiaries acquired as part of the Thiqah acquisition: (continued)

14. Thiqah Investment Company, a limited liability company registered under commercial registration number 1010950723, dated Rajab 19, 1439H (corresponding to April 5, 2018), and headquartered in Riyadh. The company's activities are maintenance and operation of buildings, operating systems, buying, selling, and leasing of land and real estate, real estate development and investment activities, and consulting services.
15. Ahad Business Services Company, a limited liability company registered under commercial registration number 1010951364, dated Rajab 23, 1439H (corresponding to April 9, 2018), and headquartered in Riyadh. The company's activities are maintenance and operation of buildings, systems analysis, design and programming of special software, maintenance of software and web page design, consulting services in senior management that include public administration, financial management, marketing management, human resource management, production management and public relations, activity of incubators and business accelerators.
16. Digital Real Estate Solutions Company, a limited liability company registered under commercial registration number 1010951872, dated Rabi' Thani 30, 1445H (corresponding to November 14, 2023), and headquartered in Riyadh. The company's activity consists of conducting auctions and offering assets for sale.
17. Matching Solutions IT Company, a limited liability company registered under commercial registration number 1009066713, dated Muharram 4, 1446H (corresponding to July 10, 2024), and headquartered in Riyadh. The company's activities consist of providing solutions that meet the needs of the testing, inspection, and certification sector, contributing to enhancing the quality and efficiency of services.
18. Aamaly Company, a limited liability company registered under commercial registration number 7049889038, dated Shawwal 30, 1446H (corresponding to April 28, 2025), and headquartered in Riyadh. The company is engaged in providing financial technology services.
19. Health Recruitment Expert Company, a limited liability company registered under commercial registration number 7052626699, dated Jumada al-Awwal 28, 1447H (corresponding to November 19, 2025), and headquartered in Riyadh. The company is engaged in providing management consultancy services, mediating the recruitment of expatriate labor, and mediating the employment of Saudi nationals.
20. Managed Solutions for Business Services Company is a limited liability company registered under commercial registration number 7052520470 dated Jumada Al-Awwal 21, 1447 H (corresponding to November 12, 2025), and headquartered in Riyadh. The company provides digital operating systems and network management solutions, corporate and head office services, document and data validation, business restructuring and management consulting, and integrated administrative support services. As at December 31, 2025, no share capital had been contributed by the shareholders and accordingly the company did not commence operations or had any assets, liabilities or equity as of the reporting date. The Group's investment and the related non-controlling interest will be recognized upon contribution of the capital.

The Company and its subsidiaries mentioned above are collectively referred to as the ‹Group› in these consolidated financial statements.

2. BASIS OF PREPARATION

2.1 Statement of compliance and basis of preparation

These consolidated financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS) that are endorsed in Kingdom of Saudi Arabia and other standards and pronouncements endorsed by the Saudi Organization for Chartered and Professional Accountants (‹SOCPA›).

Certain prior year figures have been reclassified to conform to the current period's presentation (Note 39).

2.2 Basis of consolidation

The accompanying consolidated financial statements include the financial statements of Elm Company and its subsidiaries (collectively referred as ‹the Group›).

A subsidiary is an entity controlled by the Group. The Group controls an enterprise when it has controlling interest over the investee Company and when the Company is exposed to variable returns or has rights to these returns as a result of its participation with the entity and it also has the ability to influence these returns through the power it exerts on the enterprise. The results of subsidiaries acquired or excluded during the year are included in the consolidated statement of profit or loss and other comprehensive income from the actual acquisition date or until the actual date of disposal, as appropriate.

2. BASIS OF PREPARATION (CONTINUED)

2.2 Basis of consolidation (continued)

All inter-company balances, assets, liabilities and equities, revenue, expenses, and cash flows related to Group transactions between the Company and its subsidiaries are eliminated upon consolidation of the financial statements.The non-controlling interests in the net assets of the subsidiary are determined separately from the equity of the Company.

The accounting policies applied by the subsidiaries are in accordance with the Group's accounting policies. Adjustments are made to the financial statements of the subsidiaries to comply with the financial statements of the Group, as required.

In case of loss of control over a subsidiary, it ceases to recognize the related assets (including goodwill, if applicable), liabilities, non-controlling interests and other components of equity, and the resulting gain or loss is then recognized in the consolidated statement of profit or loss.

2.3 Basis of measurement

The consolidated financial statements have been prepared on the historical cost basis except for:

- Employee end-of-service benefits which have been measured at the present value of future obligations using projected unit credit method which is measured at fair value through other comprehensive income;
- Other financial assets which are measured at fair value through other comprehensive income or profit or loss; and
- Long-term interest (advance payment for future equity shares) in associate companies, where they are measured at fair value through profit or loss.
- Share-based payment measured at fair value for the share price at the grant date.

2.4 Functional and presentation currency

These consolidated financial statements are presented in Saudi Riyals (⃁) which represents the functional currency for the Group.

2.5 Significant accounting judgements, estimates and assumptions

2.5.1 Significant accounting judgments in applying accounting policies

The following are significant judgments, regardless of those that include estimates made by the Group's management during the process of applying the Group's accounting policies which have a significant and major impact on the amounts recognized in the consolidated financial statements:

Determining Significant influence

Management considers that the Group has significant influence over an entity when the Group is exposed to risks or has rights to a significant part of the variable returns arising from its involvement with the investee and when it has the ability to make changes to the investee company to affect or participate in affecting that returns through its ability to participate in directing the related activities of the investee companies.

The determination of significant influence depends on the way decisions are made regarding the relevant activities and the Group's rights in the investee companies. In general, there is an assumption that owning a significant portion of the voting rights (typically above 20% of the voting rights) leads to a significant influence.

Management use the equity method for investees where it has a significant influence, when ownership is in ordinary shares and other instruments that are substantially similar to the ordinary shares of the investee (‹'in-substance ordinary shares'›). Management assesses that for an instrument to qualify as an in-substance ordinary share for this purpose, an instrument would need to carry rights that are substantially the same as the investee's ordinary shares and provide returns associated with those ordinary shares. When investing in Start-up's management assess whether the investment is substantially similar to the investment in the ordinary shares of the investee, and take into consideration all the characteristics below:

1- Subordination rights
2-Risks and rewards of ownership
3- Obligation to transfer value

Management has assessed that there are substantive subordination rights of the preferred shares the Group owns as compared to the ordinary shares, causing the instruments not to be substantially similar. Accordingly, the management measures these investments at fair value and presents it as part of other financial assets.

2. BASIS OF PREPARATION (CONTINUED)

2.5 Significant accounting judgements, estimates and assumptions (continued)

2.5.1 Significant accounting judgments in applying accounting policies (continued)

Determination of control

Subsidiaries are all investee companies that the Group controls. Management considers that the Group controls an entity when the Group is exposed to, or has rights, to most variable returns from its involvement with the investee and has the ability to use its power over the investee to affect those returns through its ability to direct relevant activities. Relationship with the investee companies.

The determination of the Group's control depends on the way decisions are made regarding the related activities and The Group's rights in the investee companies. In general, there is an assumption that having a majority of voting rights leads to control. In support of this presumption, when The Group has equal or less than a majority of the voting rights of the investee, the Group considers all relevant facts and circumstances when assessing whether it exercises control over the investee, including contractual and other arrangements that have an effect on activities that affect the returns of the investee companies.

Principal versus agent

The Group has made an assessment of its arrangements to determine whether it is acting as principal and then presents revenue at gross or agent and then presents revenue on a net basis. In this evaluation, the Group took into account obtaining or not obtaining control over the stipulated goods or services before they are transferred to the customer. As well as other indicators like if the party is primarily responsible for fulfillment and appreciation when setting the price, and in cases where the Group conducts Agency activities related in accordance with a contract whereby the end customer receives project management and coordination support. The Group only proves net commission income where you arrange for a third party to transfer goods or services under that arrangement and thus act as an agent.

Determine the lease term for contracts that include renewal and termination options

The Group determines the lease term as the non-cancellable term of the lease, together with any periods covered by an option to extend the lease if it is reasonably certain to be exercised, or any periods covered by an option to terminate the lease, if it is reasonably certain not to be exercised.

The Group has several lease contracts that include extension and termination clauses. The Group applies judgment in evaluating whether it is reasonably certain whether or not to exercise the option to renew or terminate the lease. It considers all relevant factors that create an economic incentive for it to exercise either the renal or termination. After the commencement date, the Group reassesses the lease term if there is a significant event or change in the circumstances that is within its control and affects its ability to exercise or not to exercise the option to renew or to terminate the contract.

2.5.2 Using assumptions and estimates

The preparation of the consolidated financial statements in accordance with International Financial Reporting Standards as endorsed in the Kingdom of Saudi Arabia requires the use of estimates and assumptions that affect the amounts of assets and liabilities, and disclosure of contingent liabilities as at the date of the consolidated financial statements and the amounts of revenue and expenses during the reporting period. Although these estimates are based on management's knowledge of current events and procedures, actual results may ultimately differ from these estimates due to circumstances out of the Groups control. The estimates and underlying assumptions are reviewed on an ongoing basis, and adjustments to accounting estimates are recognized in the period in which the estimates are revised if the adjustment affects only that period or in the period of the review and future periods if the adjustment affects current and future periods.

The following are important assumptions that relate to future periods and other major sources of uncertainty in the estimates in the financial reporting period that may have significant risks that result in substantial adjustments to the carrying amounts of assets and liabilities for the upcoming financial year:

Estimated useful lives and residual values of property and equipment and intangible assets

The useful lives and residual values of property, equipment and intangible assets are calculated for the purposes of calculating depreciation and amortization, respectively. These estimates are based on the expected usage of individual assets. The residual value is determined based on experience and observable data when available.

During the current period, the Group reassessed the useful lives of certain assets based on a comprehensive review of their operational performance. This resulted in changes to certain useful lives as outlined in the table:

All amounts in Saudi Riyals

2. BASIS OF PREPARATION (CONTINUED)

2.5 Significant accounting judgements, estimates and assumptions (continued)

2.5.2 Using assumptions and estimates (continued)

Estimated useful lives and residual values of property and equipment and intangible assets (continued)

Assets	Previously Estimated Useful Lives	Revised Estimate of Useful Lives
Leasehold improvements	5 years or the lease term, whichever is shorter	Useful life or lease term, whichever is shorter
IT equipment	3 - 5 years	3 - 10 years
Buildings	25 - 33 years	25 - 33 years
Vehicles	4 - 5 years	4 - 7 years
Furniture and fixtures	4 - 7 years	2 - 10 years
Intangible Assets	5 years unless they have indefinite useful life	2 - 10 years

This revision resulted in a decrease of ⃁ 38.9 million in depreciation and amortization expense recognized in the consolidated statement of profit or loss.

The assumptions used to estimate the impairment of non-current assets

Determining the impairment of non-current assets requires making a value-in-use for non-current assets or the cash-generating unit where the non-current assets belong. The value used in the calculation requires the management to make an estimate of the expected future cash flows from the non-current assets or the cash generating unit and an appropriate discount rate in order to calculate the present value. An impairment loss can be significant when the actual future cash flows are less than expected.

The assumptions used to determine the actuarial value of end of service benefits provision

Defined benefit obligations are discounted at a rate set by reference to relevant market yields at the end of the reporting period. Significant judgment is required when setting the criteria for which yield curve is derived. This includes government premium risk and identifying changes to be eliminated. Various estimates are used to determine the employee end of service benefits provision. These estimates are disclosed in (Note 30).

Zakat provision

Zakat provision is estimated at the end of each reporting period in accordance with the regulations of the Zakat, Tax and Customs Authority (ZATCA), and on an annual basis zakat returns are submitted to the ZATCA. The adjustments resulting from the final zakat assessment are recorded during the reporting period in which the assessment is approved by the ZATCA.

Calculation of expected credit losses provision

The estimate of the expected credit loss allowance is calculated in accordance with the accounting policy detailed in (Note 3.16)(A.4). The Group uses a dedicated matrix for the purpose of calculating expected credit losses for accounts receivable, contract assets and employee receivables. This matrix is initially based on historical default rates. The Group calibrates the matrix to adjust the historical experience of credit losses for forward-looking information. At each reporting date the Group updates the historical default rates and this is reflected in the forward-looking estimates. Management also estimates the credit loss for specific cases separately.
The Group also utilizes a dedicated matrix for the purpose of calculating the present value of money for government receivables, through which it estimates the expected collection date by applying certain assumptions and inputs such as historical collection experience per client.
Expected credit losses are recognized in the consolidated statement of profit or loss. The difference between the amounts collected in future periods and the amounts expected will be recognized in the consolidated statement of profit or loss.

The assumptions used to measure revenue

The Group estimates revenue based on the expected average collection of control and inspection projects, based on historical data associated with these projects.

Incremental borrowing rate for leases

The Group cannot readily determine the interest rate implicit in the lease agreements and, therefore, uses its Incremental Borrowing Rate (‹IBR›) to measure lease liabilities. The IBR is the rate of interest that the Group would have to pay to over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right of use asset in a similar economic environment. The IBR therefore reflects what the Group 'would have to pay', which requires estimation when no observable rates are available, such as for subsidiaries that do not enter into financing transactions or when they need to be adjusted to reflect the terms and conditions of the lease. The Group estimates the IBR using observable inputs, such as market interest rates when available and is required to make certain entity-specific estimates.

3. SIGNIFICANT ACCOUNTING POLICIES

The following is a statement of the significant accounting policies used by the Group in preparing these consolidated financial statements:

3.1 Classification of assets and liabilities as ‹current› and ‹non-current›

The Group presents the assets and liabilities in the consolidated statement of financial position as current / non-current. The assets are classified current when:

- It is expected to be realized or intended to be sold or exhausted during the normal operations cycle.
- If it is acquired mainly for trading purposes;
- It is expected to be realized within 12 months after the financial period; or
- When it is cash and cash equivalents unless there are restrictions on their replacement or their use to pay off any liabilities for a period not less than 12 months after the financial period.

All other assets are classified as "non-current".

All liabilities are classified current when:

- It is expected to be paid during the normal operations cycle;
- If acquired mainly for trading purpose;
- It is due for payment within 12 months after the financial period; or
- There is no unconditional right to postpone the payment of liabilities for a period not less than 12 months after the financial period.

All other liabilities are classified as "non-current".

3.2 Fair value measurement

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability; or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible by the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits from the asset's highest and best use or by selling it to another market participant that would utilize the asset in its highest and best use.

The Group uses appropriate valuation methods in accordance with the circumstances, and sufficient data are available for it to measure the fair value and increase the use of observable inputs and reduce the use of unobservable inputs.
All other assets and liabilities that are measured at fair value or disclosed in the consolidated financial statements are categorized within the fair value hierarchy mentioned below and based on the lowest level inputs that are significant to the fair value measurement as whole.

- Level 1 - quoted prices in active markets for identical assets or liabilities (i.e. without modifying or renewing prices);
- Level 2 - fair value measurements that consider significant lower level inputs that are observable directly or indirectly; and
- Level 3 - fair value measurements that don't consider significant lower level inputs that are unobservable.

With respect to the assets and liabilities that are recognized in the consolidated financial statements at fair value on a frequent basis, the Group determines whether the transfer has occurred between the hierarchical levels to measure the fair value by recalibrating the classification (based on significant lower level inputs to measure the fair value as a whole) at the end of each financial period.

For the purpose of fair value disclosure, the Group has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of assets and liabilities and a hierarchy of levels of fair value measurement mentioned above (Note 38).

3. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

3.3 Business combination under common-controlled entities

Business combination transactions that involve acquiring businesses under common control, where the consideration is not subject to market forces, are accounted for by recognizing the assets and liabilities of the acquired company at their book value, and no goodwill resulting from the acquisition is recorded. Any increase or decrease between the transferred consideration and the book value of the acquired company's net assets is directly recognized in equity.

The consolidated financial statements after the acquisition are presented from the announced acquisition date, without consolidating or restating the comparative year figures. Any costs incurred during the acquisition process are recognized in the consolidated statement of profit or loss.

3.4 Investments in associates and joint ventures

3.4.1 Investments in associates

An associate is an entity over which the Group has significant influence but does not have control or joint control over it. Significant influence is the Group ability to participate in the financial and operating policies decisions of the investee but has no control or joint control over those policies.

The considerations made in determining significant influence are holding- directly or indirectly – voting rights in the investee, representation on the board of directors or equivalent governing body of the investee, participation in policy-making, including participation in decisions about dividends or other distributions; material transactions between the Group and its investee; interchange of managerial personnel; or provision of essential technical information.

3.4.2 Joint arrangements

Joint control is that which arises from a contractual agreement to share control of an arrangement and only occurs when decisions about the relevant activities require the unanimous consent of the parties sharing control. The considerations considered in determining whether joint control exists are like those necessary to determine control over subsidiaries.
Investments in joint arrangements are classified as joint ventures or joint operations. This depends on the contractual rights and obligations of each investor, regardless of the legal form of the joint arrangement. The Group's has investments in joint ventures (Note 16).

Joint venture
A joint venture is a type of joint arrangement whereby the parties that have joint control of the arrangement have rights to the net assets of the joint venture Interests in joint ventures are accounted for using the equity method, after initially being recognized at cost in the consolidated statement of financial position.

3.4.3 Equity method

The investments in associates and joint ventures are accounted for in the consolidated financial statement of the Group using the equity method of accounting. These investments are initially recognized at cost and adjusted thereafter to recognize the Group's share of the profit and loss and other comprehensive income of the associate or joint venture adjusted for any impairment in the value of net investment. In addition, when there has been a change recognized directly in the equity of the associate or joint venture, the Group recognizes its share of any changes, when applicable, in the consolidated statement of changes in equity. When the Group's share of losses of an associate or joint venture exceeds the Group's interest in that associate or joint venture (which includes any long-term interests that, in substance, form part of the Group's net investment in the associate or joint venture), the Group discontinues recognizing its share of further losses. Additional losses are recognized and recorded as liabilities only to the extent that the Group has incurred legal or constructive obligations or made payments on behalf of the associate or joint venture.

Unrealized gain or losses resulting from transactions between the Group and the associate or joint venture are eliminated to the extent of the interest in the associate or joint venture.

Unrealized gains or losses resulting from transactions between the Group and the associate or joint venture are excluded to the extent of the Group's ownership share in the associate or joint venture.

Upon loss of significant influence or control, the Group measures and recognizes any retained investment at its fair value. Any difference between the carrying amount of the investment upon loss of significant influence or control, and the fair value of the retained investment and proceeds from disposal is recognized in the consolidated statement of profit or loss.

3. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

3.4 Investments in associates and joint ventures (continued)

3.4.3 Equity method (continued)

When the Group discontinues accounting for an investment under the equity method due to a loss of control or significant influence, any retained interest in the entity is re-measured at fair value, and the change in carrying amount is recognized in the consolidated statement of profit or loss. This fair value becomes the initial carrying amount for the purposes of subsequently accounting for the retained interest as an associate or a financial asset. In addition, any amounts previously recognized in other comprehensive income in respect of that entity are accounted for as if the Group had directly disposed of the related assets or liabilities. This may mean that amounts previously recognized in other comprehensive income are reclassified directly to the consolidated statement of profit or loss or the consolidated statement of financial position.

3.5 Revenue recognition

Revenue from contracts with customers

The Group recognizes revenue from contracts with customers using five steps method as mentioned in IFRS 15:

Step (1): Identify the contract (s) with the customer. A contract is defined as an agreement between two or more parties that creates enforceable rights and obligations and clarifies the foundations and criteria that must be fulfilled for each contract.

Step (2): Identify the performance obligations in the contract. A performance obligation is an undertaking stipulated in the contract with the customer to transfer a good or service to the customer.

Step (3): Determine the transaction price: The transaction price represents the amount of compensation that the Group expects to have the right in exchange for transferring the promised goods or services to the customer except the amounts that are collected on behalf of third parties.

Step (4): Allocate the transaction price to the performance obligations stipulated in the contract. For contracts that involve more than one performance obligation, the Group will allocate the transaction price to each performance obligation, in an amount that the Group expects to have the right to fulfill each performance obligation.

Step (5): Recognize revenue when (or as) the entity satisfies a performance obligation.

The Group fulfills a performance obligation and recognizes revenue over a period of time if one of the following controls is met:

A) The performance of the Group does not originally create an asset with an alternative use to the Group, and the Group has the right to enforce payment in exchange for the performance completed to date.
B) Group performance creates or improves a customer-controlled asset at the same time that the asset is constructed or improved.
C) The customer receives the benefits provided by the performance of the facility and consumes it at the same time once the Group has performed.

With regard to performance obligations, if any of the above conditions are not met, revenue is recognized at a point of time.

In the event that the Group fulfills the performance obligation through providing the promised services, this will lead to the creation of an asset based on a contract in exchange for compensation earned from the performance. In the event that the compensation received by the customer exceeds the amount of proven revenue, a contract obligation may arise. The Group takes in consideration the transition of the asset (or service) that fulfills the performance obligation, if applicable.

Revenue is measured at the fair value of the consideration received or receivable, after taking into consideration the terms of the contractual payment, and after excluding taxes and fees. The Group reviews revenue arrangements in accordance with specific criteria to ascertain whether it is acting as principal or agent.

When the Group is not highly certain of the possibility of collecting from certain customers, the revenue is recognized upon collection.

Revenue is recognized to the extent that it is probable that the economic benefits of the Group will flow, and that revenue and costs, if applicable, can be measured reliably.

3. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

3.5 Revenue recognition (continued)

The following is an explanation of the revenue recognition method for each segment:

1- Digital Business: Digital business revenue consists of two types: products and projects, revenue from products are recognized as follows for subscriptions over a period of time, as for transactions, they are recognized at a point in time. Project revenue over time and at a point in time based on the nature of the performance obligation specified in the contract.

2- Business Process Outsourcing: Revenue from the business process outsourcing segment consists of projects. Revenue can be recognized over time and at a point in time based on the nature of the performance obligation specified in the contract.

3- Professional Services: Professional services segment revenue consists of projects. Revenue can be recognized over time and at a point in time based on the nature of the performance obligation specified in the contract.

3.6 Foreign currencies

Balances and foreign transactions

Originally, transactions in foreign currencies are transferred by the Group's entities at the exchange rates prevailing in the functional currency of the date on which the transaction occur.

Monetary assets and liabilities denominated in foreign currencies are translated at the exchange rates prevailing in the functional currency at the date of preparation of the consolidated financial statements. Differences arising from settlement or transfer of monetary items are recognized in the consolidated statement of profit or loss.

Non-monetary items that are measured in terms of historical cost, recorded in a foreign currency, are translated at the exchange rates prevailing at the date of the initial transactions. Non-monetary items recorded in foreign currencies that are measured at fair value at the exchange rates prevailing at the date when the fair value is determined are transferred. Profits or losses resulting from the conversion of non-monetary items that are measured at fair value are treated in accordance with the recognition of gains or losses resulting from the change in the fair value of the item (i.e. exchange differences are recognized on items whose profit or loss is measured at fair value in other comprehensive income or consolidated statement of profit or loss, respectively).

3.7 Property and equipment

Property and equipment are stated at cost less accumulated depreciation and impairment losses, if any. This cost includes cost of replacing part of the property and equipment and borrowing costs related to long-term construction projects, in case the evidentiary standards are met. If the replacement of important parts of property and equipment is required on stages, the Group consumes these parts independently over their useful lives. Conversely, when a major examination is performed, its cost is recognized in the carrying amount of the equipment as a replacement, if the recognition criteria are met. All other repair and maintenance costs are recognized in the consolidated statement of profit or loss as incurred. The present value of the expected cost of removing an asset (if any) after its use is included in the cost of the underlying asset in the event that the evidentiary criteria related to the recognition of the allowance are fulfilled.

Any item of property and equipment and any significant part that was initially recognized is discontinued upon exclusion or when there are no future benefits expected from use or disposal. Any gains or losses arising from discontinuation of any asset (calculated as the difference between the net proceeds from disposals and the carrying amount of the asset) are included in the consolidated statement of profit or loss for the year in which the asset is discontinued.

The residual value, useful lives, and methods of depreciation of property and equipment are reviewed at the end of each financial period and adjustments are made in the future, if appropriate.

Under construction projects appear at the cost incurred until the asset is prepared for the purpose for which it was created. This cost is then capitalized to the related assets. Cost includes the cost of contractors, materials, services, and capital advances.

The Group depreciates property and equipment on a straight line basis. Following are the expected useful lives of the Group's property and equipment:

- Leasehold improvements: Useful life or lease term, whichever is shorter
- Information system devices: 3-10 years
- Buildings: 25 - 33 years
- Vehicles: 4 - 7 years
- Furniture and fixtures: 2 - 10 years

3. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

3.8 Intangible assets

Intangible assets acquired independently are initially measured at cost. The cost of intangible assets acquired in the acquisition of entities represents the fair value at the date of acquisition. After initial recognition, intangible assets are recorded at cost less accumulated amortization and accumulated impairment losses. Internally developed intangible assets are capitalized.
Intangible assets with a specified life are amortized over their estimated useful lives, and reviewed to ensure that there is an impairment in its value when there is an evidence that indicates that a decrease has occurred. The period and method for amortization of intangible assets with a finite useful life are reviewed at least at the end of each financial reporting period. Changes in the accounting of expected useful life or the method of amortizing future economic benefits embodied in the asset – through adjusting the amortization period or method, as appropriate, and it is considered as changes in accounting estimates. Amortization expense for intangible assets with specific lives is recognized in the consolidated statement of profit or loss as an expense and in line with the function of the intangible assets.

Intangible assets that do not have a specific life are not amortized, but are tested annually to ensure that there is no impairment in their value either alone or at the cash-generating unit level. The indefinite life asset is reviewed annually to ensure that the assessment made for the unspecified useful life is still supported, otherwise the change from "specified life" to "unspecified life" will be made on a future basis.

Research and development costs are recognized as incurred. Development costs for a specific project are recognized as an intangible asset when the Group can demonstrate the following:

- The technical feasibility of completing the intangible asset so that it will be available for use or sale.
- The intention to complete the asset and the ability and intention to use or sell the asset.
- The method of using the asset will generate future economic benefits.
- The availability of resources to complete the asset.
- The ability to measure the costs during development reliably.

After the initial recognition of development costs as an asset, the asset is recorded at cost less any accumulated amortization and accumulated impairment losses, if any. Amortization of the asset begins when development is complete, and the asset is available for its intended use. It is amortized over its expected future useful life. The amortization is recorded under the expense category in accordance with the function of the intangible assets. During the development period, the asset is tested for impairment on an annual basis.

Profits or losses resulting from discontinuation of the recognition of intangible assets are measured as the difference between the net disposal proceeds and the carrying amount of the asset, and are recognized in the consolidated statement of profit or loss upon discontinuation of the asset.

Computer programs , platforms , Licenses and patents are recorded at cost, less accumulated amortization, and accumulated impairment losses. Historical cost includes the expenses directly related to purchasing items.

Projects under development related to intangible assets are presented within the capital work-in-progress item in the financial position until the asset is ready for its intended use. It is then transferred to the relevant intangible assets category. The cost primarily includes software license fees and developer salaries.

Amortization is charged to the consolidated statement of profit or loss using the straight-line method over the estimated useful lives, and may be charged against the related assets if it represents a portion of their costs.

Computer software, electronic systems, and licenses are amortized over a period of 2 - 10 years unless they have an indefinite useful life. Patents are amortized based on the term of the issued certificate.

3. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

3.9 Impairment of non-financial assets

The Group, at the date of preparing the consolidated financial statements, makes an assessment to ensure that there is no evidence of any impairment in the value of an asset. In case that such evidence exists or when an annual test is required to confirm the existence of an impairment in the value, the Group estimates the recoverable amount for that asset. The recoverable amount represents the higher value of the fair value of the asset or cash generating unit, less costs of disposal and the present value, and is determined for each asset, except in cases where the asset does not generate cash inflows that are largely independent of those from other assets or Group assets. In cases where the carrying amount of the asset or cash generating unit exceeds the recoverable amount, the asset is considered to be impaired and is written down to the recoverable amount.

When estimating the present value, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects market assessments for the time value of money and the risks inherent in the asset. When determining the fair value less cost to sell, the latest available market transactions are taken into consideration. Where no such factors can be identified, appropriate valuation methods are used.

The Group calculates present value based on the information used in calculating the detailed budgets and forecasts, which are prepared independently for each cash generating unit in the Group to which the asset is allocated. The information used to calculate budgets and expectations usually covers a five-year period. A long-term growth rate is calculated and applied to the expected future cash flows after the fifth year.

Impairment losses from continuing operations are recognized in the consolidated statement of profit or loss.

For assets, except goodwill, an evaluation is performed at the date of preparing the consolidated financial statements, to ensure if there is any indication that there were no previously reported impairment losses or decreases. If such evidence exists, the Group estimates the recoverable amount of the asset or cash generating unit. The previously recognized impairment loss is reversed only if there has been a change in the assumptions used to determine the recoverable amount since the last impairment loss was recognized. The reversal of the entry is limited so that the book value of the asset does not exceed the recoverable value of it nor the book value that was supposed to be determined after deduction of depreciation if the impairment loss was not proven in previous years. This reversal is recognized in the consolidated statement of profit or losses.

Intangible assets with indefinite useful lives are tested to ensure that there is no annual decrease in their value, either individually or at the cash-generating unit level, as appropriate, and when circumstances indicate that the carrying value may be impaired.

3.10 Cash and cash equivalents

Cash and cash equivalents are shown in the consolidated statement of financial position comprise cash at banks, cash in hand, and murabaha deposits with an original maturity of three months or less, which are subject to an insignificant risk of changes in value.
For the purpose of the consolidated statement of cash flows, cash and cash equivalents consist of cash in hand and short-term deposits as stated above after deducting bank overdrafts (if any) since it's considered an integral part of the Group's cash management.

3.11 Murabaha deposits

Long-term murabaha deposits include long-term deposits with banks with an original maturity of more than three months. Bank deposits are considered as a cash management tool for the Group. Returns from bank deposits are accounted for in the consolidated statement of profit or loss when due.

3.12 Dividend distribution

The Group recognizes distributions to shareholders as a liability when the distribution is approved. The corresponding amount is recognized directly in equity.

3.13 Provisions

Provisions are recognized when the Group has current or expected legal obligations as a result of past events, it is probable that the outflow of resources with economic benefits will be necessary to settle the obligation and a reliable estimate of the amount of the obligation can be performed. When the Group expects that some or all of the provisions will be recovered, for example under an insurance contract, the recoveries are recognized as a separate asset but only when these recoveries are almost confirmed. The expense related to the provision is displayed in the consolidated statement of profit or loss after discounting any recoverable amounts. If the effect of the time value of money is material, provisions are discounted using the current pre-tax rate, which reflects, when appropriate the risks related to the obligation. When using a discount, the increase in the provision due to the passage of time is recognized as a finance cost.

3. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

3.14 Segmental reporting

The Group's operating segments are identified based on internal reports that are regularly reviewed by the Group's chief operating decision maker (chief operating decision maker) in order to allocate resources between the segments and to assess their performance.

3.15 Employee end of service benefits

The Group provides end of service benefits to the employees if eligible as a defined benefit program.

The net assets or liabilities of the retirement program recognized in the consolidated statement of financial position are the fair value of the program assets, (if any), less the present value of the defined benefit obligations expected at the preparation date of the consolidated financial statements.

The Group is required to make assumptions about variables such as discount rates, salary increase rate, longevity, employee turnover and future healthcare costs, where applicable. Changes in the underlying assumptions can have a significant impact on the expected benefit obligations and the costs of defined employee benefits. All assumptions are reviewed at each reporting date.

The defined benefit liabilities are periodically re-measured by independent actuaries using the expected credit unit method. The present value of the defined benefit liabilities is determined by discounting the estimated future cash flows using commission rates for high-quality corporate bonds that are recorded in the currency in which the benefits are to be paid, and which have terms close to the terms of the related obligations. Commission cost is calculated by applying the discount rate to the net balance of the defined benefit liabilities and the fair value of the program assets. This cost is included in employee benefits expenses in the consolidated statement of profit or loss and other comprehensive income.

The costs of the defined benefit liabilities for the initial periods are calculated on an annual basis using the rate of actuarially defined pension cost at the end of prior year, after adjusting for significant market fluctuations and any significant one-time events, such as program adjustments or manpower cuts and reimbursement. In the absence of such significant market fluctuations and one-time events, actuarial liabilities are carried forward based on assumptions at the beginning of the year. If there are material changes to the assumptions or arrangements during the initial period, a re-measurement of these liabilities is taken into consideration.

Re-measurements, comprising actuarial gains and losses, are reflected immediately in other comprehensive income in the period in which they occur. Changes in the present value of the defined benefit liabilities resulting from settlements or downsizing the program are recognized directly in consolidated statement of profit or loss and other comprehensive income as a past service cost.

A liability assessment under these programs is performed by an independent actuary based on the expected credit unit method. The costs related to these programs consist mainly of the present value of related benefits, on an equal basis, in each year of service and commissions on this obligation in relation to employee services in prior years.

The costs of current and prior services related to post-employment benefits are recognized directly in the consolidated statement of other comprehensive income while the increase in the commitment to the discount rates recorded as a financing costs. Any changes in net liabilities as a result of actuarial valuations and changes in assumptions are re-measured to other comprehensive income.

In the Kingdom of Saudi Arabia, with regard to the employee end of service benefits provision, the actuarial valuation process takes into consideration the Saudi labor law and the Group policy.

3. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

3.16 Financial instruments

Financial assets and financial liabilities are recognized when the Group becomes a party to the contractual instrument.
The following are the significant accounting policies followed by the Group for the classification, recognition, and measurement of financial instruments:

A. Financial assets

A.1 Classification and initial Recognition

The classification and initial recognition of financial assets depends on the Group's business model for managing its financial assets and the contractual terms of the cash flows. The Group classifies and recognizes its financial assets as follows:

- Financial asset at amortized cost;
- Financial asset at Fair value through Profit or loss ("FVTPL"); and
- Financial asset at fair value through other comprehensive income ("FVOCI").

Below is a detailed statement of the classification and initial proof of each of the above-mentioned items;

Financial asset at amortized cost

A financial asset is measured at amortized cost, if it meets both of the following conditions and is not designated as at FVTPL:

- The asset is held within a business model whose objective is to hold assets to collect contractual cash flows (HTC); and
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding It results in cash flows that are only payments of the principal amount and commission on the principal amount outstanding. This evaluation is referred to as the ‹pay test only from principal and commission›, and this evaluation is performed at the level of the financial instrument.

Accounts receivable and contract assets, which are held to collect contractual cash flows that are expected to result in cash flows that are solely payments of principal, or cash flows that are solely payments of principal and commission on the principal amount that do not carry a significant financing portion, are measured at transaction cost.

Financial asset at FVOCI

Equity instruments

On initial recognition, for an equity investment that is not held for trading, the Group may irrevocably elect to present subsequent changes in fair value in other comprehensive income. This election is made on an investment-by-investment basis.

Debt instruments

A debt instrument is measured at FVOCI only if it meets both of the following conditions and is not designated as FVTPL:

- The asset is held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets (HTCS); and
- The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial asset at FVTPL

All financial assets not classified as held at amortized cost or FVOCI are classified as FVTPL.

In addition, on initial recognition, the Group may irrevocably designate a financial asset that otherwise meets the requirements to be measured at amortized cost or at FVOCI as at FVTPL if doing so eliminates or significantly reduces an accounting mismatch that would otherwise arise.

Financial assets are not reclassified subsequent to their initial recognition, except in the period after the Group changes its business model for managing financial assets.

3. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

3.16 Financial instruments (continued)

A. Financial assets (continued)

A.2 Subsequent measurement

For purposes of subsequent measurement, financial assets are classified into three categories:

Financial asset at amortized cost

-Debt Instruments

Financial assets at amortized cost are subsequently measured using the Effective Interest Rate (‹EIR›) method and are subject to impairment. Gain and losses are recognized in profit or loss when the asset is derecognized, modified or impaired.

As at the date of preparing these consolidated financial statements, the Group does not have any debt instrument assets.

-Accounts receivable and contract assets

Accounts receivable and contract assets, which are held to collect contractual cash flows that are expected to result in cash flows that are solely payments of principal, or cash flows that are solely payments of principal and commission on the principal amount that do not carry a significant financing portion, are measured at transaction cost. Subsequent measurement and impairment are described in the note on impairment (Note 3.16, Paragraph A.4).

Financial asset at FVTPL

The financial assets measured at fair value through profit or loss (‹FVTPL›) are measured at each reporting date at fair value without the deduction of transaction costs that the Group may incur on sale or disposal of the financial asset in the future.

Financial asset at FVOCI

Financial assets are measured at fair value through other comprehensive income at the end of each reporting period and the transaction costs that the Group incurs when the assets are disposed of in the future are not discounted.

A.3 De-recognition

A financial asset or a part of a financial asset is de-recognized when:

- The rights to receive cash flows from the asset have expired, or
- The Group has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement, and either:

a) The Group has transferred substantially all the risks and rewards of the asset; or

b) The Group has neither transferred nor retained substantially all the risks and rewards of the asset but has transferred control of the asset.

On derecognition of a financial asset, the difference between the carrying amount of the asset (or the carrying amount assigned to the part of the asset for which recognition was expected) and the sum of (i) the consideration received and (ii) any cumulative gain or loss recognized in other comprehensive income It is recognized in the consolidated statement of profit or loss.

A.4 Impairment

Management assesses on a forward-looking basis the ECL associated with its account receivables, contract assets and employee receivables.

Management applies the simplified approach in calculating ECL's. Therefore, management does not track changes in credit risk, but instead recognized a loss allowance base on lifetime ECL's at each reporting date. Management has established a provision matrix that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the debtors and the economic environment. Also, management evaluate on on-going basis the credit risk where it takes additional ECL for specific cases where applicable.

3. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

3.16 Financial instruments (continued)

A. *Financial assets* (continued)

A.5 Business model assessment

The Group makes an assessment of the objective of a business model under which an asset is held, at a portfolio level because this best reflects the way the business is managed, and information is provided to management. The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice. In particular, whether management's strategy focuses on earning contractual interest revenue, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of the liabilities that are funding those assets or realizing cash flows through the sale of the assets;
- how the performance of the portfolio is evaluated and reported to the Group's management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed;
- how managers of the business are compensated–e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and
- the frequency, volume and timing of sales in prior periods, the reasons for such sales and its expectations about future sales activity. However, information about sales activity is not considered in isolation, but as part of financial assets that are held for trading and whose performance is evaluated on a fair value basis are measured at FVTPL because they are neither held to collect contractual cash flows nor held to collect contractual cash flows and to sell financial assets.

The business model assessment is based on reasonably expected scenarios without taking 'worst case' or 'stress case' scenarios into account. If cash flows after initial recognition are realized in a way that is different from the Group's original expectations, the Group does not change the classification of the remaining financial assets held in that business model, but incorporates such information when assessing newly originated or newly purchased financial assets going forward.

A.6 Assessments whether contractual cash flows are solely payments of principal and interest ("SPPI" criteria)

For the purposes of this assessment, 'principal' is the fair value of the financial asset on initial recognition. 'Interest' is the consideration for the time value of money, the credit and other basic lending risk associated with the principal amount outstanding during a particular period and other basic lending costs (e.g. liquidity risk and administrative costs), along with profit margin.

In assessing whether the contractual cash flows are solely payments of principal and interest, the Group considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making the assessment the Group considers:

- contingent events that would change the amount and timing of cash flows;
- leverage features;
- prepayment and extension terms;
- terms that limit the Group's claim to cash flows from specified assets (e.g. non-recourse asset arrangements); and
- features that modify consideration of the time value of money (e.g. periodical reset of interest rates).

3. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

3.16 Financial instruments (continued)

B. Financial liabilities

B.1 Initial recognition and measurement

Financial liabilities are classified under either of the below two classes:

- Financial liabilities at gain value through profit or loss ("FVTPL"); and
- Other financial liabilities measured at amortized cost using the effective interest method ("EIR") method.

The category of financial liability at FVTPL has two sub-categories:

- Designated: A financial liability that is designated by the entity as a liability at FVTPL upon initial recognition; and
- Held for trading: A financial liability classified as held for trading, such as an obligation for securities borrowed in a short sale, which have to be returned in the future. This category also includes derivative financial instruments entered into by the Group that are not designated as hedging instruments in hedge relationships. Separated embedded derivatives are classified as held for trading.

All financial liabilities are recognized initially when the Group becomes party to contractual provisions and obligations under the financial instrument. The liabilities are recorded at fair value.

As of the date of this financial statement the Group doesn't have any financial liabilities at FVTPL.

B.2 Subsequent measurement

Financial liabilities at FVTPL continue to be recorded at fair value with changes being recorded in the consolidated statement of profit or loss.

For other financial liabilities, including loans and borrowings, after initial recognition, these are subsequently measured at amortized cost using the EIR method. Gain or loss are recognized in the consolidated statement of profit or loss when the liabilities are de-recognized as well as through the EIR amortization process.

Amortized cost is calculated by taking into account any discount or premium on acquisition and fees or costs that are an integral part of the EIR method. The EIR amortization is included as finance costs in the consolidated statement of profit or loss.

For accounts payables and contract liabilities. They are initially recognized at fair value and subsequently measured at amortized cost.

B.3 *De-recognition*

A financial liability is de-recognized when the obligation under the liability is settled or discharged.

3. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

3.17 Leases

The Group assesses whether a contract is based on or contains a lease based on the lease concept and determines whether the arrangement is based on or contains a lease based on the substance of the arrangement at the inception of the lease. An arrangement is or contains a lease if the arrangement is based on a right to use an asset or assets and the arrangement provides a right to use the asset or assets for a specified period even if this right is not expressly stated in the arrangement.

A. *Group as a Lessee*

Right-of-use assets

The Group recognizes right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognized, initial direct costs, and any lease payments made at or before the commencement date less any lease incentives received.

Right-of-use assets are depreciated over the estimated useful life of the asset or the term of the lease on a straight line basis, whichever is shorter. If ownership of the leased asset passes to the Group at the end of the lease term or the right-of-use cost reflects the Group's exercise of the option to purchase the leased asset, then the asset is depreciated over the estimated useful life of the asset.

Lease liabilities

At the commencement date of the lease, the Group recognizes lease liabilities measured at the present value of lease payments to be made over the lease term.

The lease payments include fixed payments (including in-substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Group and payments of penalties for terminating the lease, if the lease term reflects the Group exercising the option to terminate. Variable lease payments that do not depend on an index or a rate are recognized as expenses in the period in which the event or condition that triggers the payment occurs.

All lease payments are allocated between the obligation and the finance cost. The finance cost is recognized in the consolidated statement of profit or loss over the term of the lease.

Short-term leases and leases of low-value assets

Short-term leases are leases with a lease term of 12 months or less. Impaired assets are those items that do not reach the Group's capitalization threshold. Payments related to short-term leases and leases of low-value assets are recognized on a straight-line basis in the consolidated statement of profit or loss.

B. Group as a lessor

Leases in which the Group does not transfer all the significant risks and rewards of ownership of the asset are classified as operating leases. Rental income is accounted for on a straight-line basis over the lease term and is included within other income in the consolidated statement of profit or loss. Initial direct costs incurred during the negotiation and arrangement of an operating lease are added to the carrying amount of the leased asset and recognized over the lease term on the same basis as a lease expense.

A lease is classified as a finance lease if it transfers substantially all the risks and rewards incidental to ownership of an underlying asset. The amounts due from the finance leases are recorded as lease receivables at an amount equal to the net investment of the Group in the lease. The lease payments to be received are divided into two components: (1) a reimbursement of the original amount (2) a financing income to compensate the Group for its investment and services. The additional costs directly attributable to negotiating the lease contract are included in the amounts due, which in return, will reduce the finance income portion from the contract.

3. SIGNIFICANT ACCOUNTING POLICIES (CONTINUED)

3.18 Zakat

Zakat is levied based on the higher of the zakat base or the adjusted zakat-able income, in accordance with the regulations of the Zakat, Tax and Customs Authority (‹ZATCA›) in the Kingdom of Saudi Arabia. The Group calculates and records zakat provision in its consolidated financial statements in accordance with ZATCA regulations. Adjustments arising from final zakat assessment are recorded in the reporting period in which such assessment is approved by the ZATCA.

3.19 Treasury shares

Own equity instruments that are repurchased (treasury shares) are recognized at cost and deducted from equity. No gain or loss is recognized in the consolidated statement of profit or loss on the purchase, sale, issue or cancellation of the shares. Any difference between the carrying amount of the shares and the consideration, if reissued, is recognized in other reserves within equity.

3.20 Share based payment

Company employees receive remuneration in the form of shares under the long-term employee incentive program, under which employees provide services in consideration for Company shares (repayable transactions in the form of equity instruments). The cost is determined through the fair value of the financial instrument at the grant date. The grant date is the date on which both the Company and the employee agree to a share-based payment agreement, so that there is a common understanding of the terms and conditions of the agreement between the parties (Note 26).

The grant-date fair value of equity-settled share-based payment arrangements granted to employees is generally recognized as an expense included in the salaries and benefits of the employees, with a corresponding increase in the other reserves at the equity statement, over the vesting period of the awards.

The cumulative expense recognized at each reporting date until the long-term employee incentive program end date reflects the Group's best estimate of the number of shares that will ultimately vest.

In case of program terms adjusted, the minimum expense recognized is equal to the value of the expense as if the terms had not been adjusted, if the original terms are met. Any additional expense is recognized for any adjustment leading to an increase in the fair value of the awards or bringing benefit to the employees and measured at fair value on the date of the adjustment.

The amount recognized as an expense is adjusted to reflect the number of awards for which the related service and non-market performance conditions are expected to be met, such that the amount ultimately recognized is based on the number of awards that meet the related service and non-market performance conditions at the vesting date.

In case of cancellation of the program, the process of the cancellation is an acceleration of vesting, and recognize immediately the amount of expenses that would have been recognized including those benefits that are not earned and are controlled by the Company or the employee and which are not yet due. In case a new program is implemented to replace one that has been terminated, and it determined as an alternative program on the grant date to the new program, the terminated program and the new program are processed as if it was an adjustment to the original program, as mentioned in the previous paragraph.

4. APPLICATION OF NEW AND REVISED INTERNATIONAL FINANCIAL REPORTING STANDARDS (IFRSs)

The following are the standards and specific amendments that apply for annual periods beginning on or after January 1, 2025 (unless stated otherwise). The application of these standards and amendments, where applicable, has not had a material impact on the consolidated financial statements:

A- New and amended standards and interpretations

- *Amendments to International Accounting Standard 21 - Lack of Exchangeability*

  These amendments add requirements to help entities to determine whether a currency is exchangeable into another currency, and the spot exchange rate to use when it is not. An entity is impacted by the amendments when it has a transaction or an operation in a foreign currency that is not exchangeable into another currency at a measurement date for a specified purpose.

B- Issued standards and amendments not yet in effect

The following are the standards and amendments that have been issued but are not yet in effect as of the issuance date of the consolidated financial statements. The Group has not early adopted any standard, interpretation, or amendment that has been issued but is not yet effective. The Group is currently assessing the impact of applying these standards and amendments on the consolidated financial statements.

- *Amendments to IFRS 9 and IFRS 7 – Classification and Measurement of Financial Instruments*

  These amendments clarify the requirements for the timing of recognition of certain financial assets and liabilities, their derecognition, and additional disclosures for some financial instruments with contractual terms that could change cash flows. It also updates the disclosure of financial instruments classified at fair value through other comprehensive income.

- *IFRS 18 – Presentation and Disclosure in Financial Statements*

  The new standard for presentation and disclosure in financial statements, focusing on updates to the income statement, includes the following key concepts introduced in IFRS 18:

  - The structure of the profit or loss statement;
  - Disclosures required in the financial statements for certain performance measures of profit and loss reported outside the financial statements of the entity (i.e., performance measures defined by management); and
  - Enhanced aggregation and classification principles applicable to primary financial statements and notes in general.

All amounts in Saudi Riyals

5. REVENUE

Revenue sources:

	December 31, 2025	December 31, 2024
Revenue from private parties	5,430,151,562	4,555,093,459
Revenue from government agencies	4,034,733,426	2,851,700,943
	9,464,884,988	7,406,794,402

*The amounts above include transactions with related parties (Note 34).

Revenue recognition time:

	December 31, 2025	December 31, 2024
At a point in time	6,484,617,192	5,613,390,768
Over a period of time	2,980,267,796	1,793,403,634
	9,464,884,988	7,406,794,402

6. COST OF REVENUE

Cost of revenue is as follows:

	December 31, 2025	December 31, 2024
Direct costs	3,778,813,758	2,706,573,959
Salaries and employee benefits	2,008,519,032	1,669,128,574
	5,787,332,790	4,375,702,533

*The amounts above include transactions with related parties (Note 34).

7. RESEARCH AND DEVELOPMENT EXPENSES

Research and development expenses are as follows:

	December 31, 2025	December 31, 2024
Salaries and employee benefits	62,022,267	52,360,643
Consulting services	18,994,519	4,703,792
Contractors expenses	14,519,060	8,743,899
Licenses and subscriptions	9,452,948	5,461,082
Other expenses	388,914	4,263,117
	105,377,708	75,532,533

All amounts in Saudi Riyals

8. SELLING AND MARKETING EXPENSES

Selling and marketing expenses are as follows:

	December 31, 2025	December 31, 2024
Salaries and employee benefits	**224,471,013**	197,924,054
Advertising and exhibitions	**80,962,572**	60,896,911
Partnerships sales commission	**35,557,293**	36,365,985
Bank commission costs and invoice fees	**26,770,066**	20,904,092
Public relations	**19,388,808**	10,661,155
Other expenses	**16,212,888**	8,854,248
	403,362,640	335,606,445

9. GENERAL AND ADMINISTRATIVE EXPENSES

General and administrative expenses are as follows:

	December 31, 2025	December 31, 2024
Salaries and employee benefits	**490,443,943**	411,179,731
Contractors' expenses	**64,110,122**	20,988,256
Subscriptions and memberships	**53,393,878**	26,797,006
Consulting and professional services (A)	**47,812,706**	37,946,918
Hospitality and activities	**42,979,248**	24,822,738
Utilities and communications	**6,965,337**	3,365,311
Repair and maintenance expenses	**4,670,221**	3,881,622
Other expenses	**38,144,117**	27,588,231
	748,519,572	556,569,813

A- Consulting and professional services include the fees of the Group's auditors related to the fees for the audit of the financial statements. The Group contracted with Dr. Mohammed Al-Omari & Co to audit the financial statements for the year ended December 31, 2025 and to review the financial statements for the second and third quarters of 2025 and the first quarter of 2026. Expenses related to the fees of the auditors for auditing and reviewing the Company's financial statements amount to ⃁ 2.9 million (2024: ⃁ 1.9 million) and expenses related to other services provided by the Group's auditors amount to ⃁ 0.03 million (2024: ⃁ 0.08 million).

10. OTHER INCOME, NET

Other income details are as follows:

	December 31, 2025	December 31, 2024
Funds received from HRDF to support Saudization	**33,712,718**	14,955,848
Income from call accounts	**16,255,710**	24,781,644
Foreign exchange (loss) / gain	**(60,433)**	911,487
(Loss) / gain on disposal of property, equipment and intangible assets	**(725,962)**	62,771,538
Others	**8,791,115**	399,539
	57,973,148	103,820,056

All amounts in Saudi Riyals

11. PROPERTY AND EQUIPMENT

	Land	Buildings	Information system devices	Furniture and fixtures	Leasehold improvements	Vehicles	Total
<u>Cost</u>							
Balance as at January 1, 2024	33,760,000	295,769,059	223,062,132	45,682,252	104,309,011	20,834,520	723,416,974
Additions during the year	-	1,147,230	41,187,372	13,950,031	3,223,604	3,120,000	62,628,237
Transfer from capital work in progress (Note 12)	-	1,141,385	89,639,293	14,870,225	64,756,772	2,282,447	172,690,122
Disposals during the year (B)	-	-	(22,043,716)	(6,425,947)	-	(3,093,711)	(31,563,374)
Balance as at December 31, 2024	33,760,000	298,057,674	331,845,081	68,076,561	172,289,387	23,143,256	927,171,959
Impact of acquisition through business combination under common control (Note 40)	**-**	**-**	**15,061,948**	**17,891,619**	**509,085**	**1,981,250**	**35,443,902**
Additions during the year	**-**	**1,115,461**	**74,827,524**	**21,139,191**	**29,267,663**	**8,128,000**	**134,477,839**
Transfer from capital work in progress (Note 12)	**-**	**-**	**7,242,700**	**416,041**	**95,775,441**	**-**	**103,434,182**
Disposals during the year	**-**	**-**	**(11,120,545)**	**(13,863,762)**	**(19,463,508)**	**(5,572,034)**	**(50,019,849)**
Balance as at December 31, 2025	**33,760,000**	**299,173,135**	**417,856,708**	**93,659,650**	**278,378,068**	**27,680,472**	**1,150,508,033**
<u>Accumulated depreciation and impairment</u>							
Balance as at January 1, 2024	-	58,060,661	138,474,962	42,523,716	100,517,571	8,656,818	348,233,728
Depreciation during the year	-	9,167,207	55,169,961	4,201,859	12,364,656	5,073,523	85,977,206
Disposals during the year (B)	-	-	(16,909,078)	(6,418,507)	-	(1,792,163)	(25,119,748)
Balance as at December 31, 2024	-	67,227,868	176,735,845	40,307,068	112,882,227	11,938,178	409,091,186
Depreciation during the year	**-**	**9,225,063**	**46,173,297**	**8,085,166**	**15,140,393**	**5,885,283**	**84,509,202**
Disposals during the year	**-**	**-**	**(9,318,092)**	**(13,769,988)**	**(4,742,839)**	**(4,696,726)**	**(32,527,645)**
Balance as at December 31, 2025	**-**	**76,452,931**	**213,591,050**	**34,622,246**	**123,279,781**	**13,126,735**	**461,072,743**
Net book value:							
As at December 31, 2025	**33,760,000**	**222,720,204**	**204,265,658**	**59,037,404**	**155,098,287**	**14,553,737**	**689,435,290**
As at December 31, 2024	33,760,000	230,829,806	155,109,236	27,769,493	59,407,160	11,205,078	518,080,773

All amounts in Saudi Riyals

11. PROPERTY AND EQUIPMENT (CONTINUED)

The following is a classification of depreciation if presented by function in the consolidated statement of profit or loss:

	December 31, 2025	December 31, 2024
Cost of revenue	44,592,893	62,635,022
General and administrative expenses	38,072,226	21,444,046
Selling and marketing expenses	948,623	1,077,057
Research and development	895,460	821,081
	84,509,202	85,977,206

(A) Land and buildings includes an amount related to a land and a building purchased by the Company to be the headquarters at a cost of ⃁ 303 million. The last installment of the head office purchase contract was paid during 2024, and during the current year the Company has completed the procedures for transferring the ownership of the land and building.

(B) During 2024, assets with a book value of ⃁ 5.1 million were disposed related to a contract with a government entity, as the contract includes the transfer of ownership of the platform and its related assets to the entity after the end of the contract period, and gains amounting to ⃁ 21.7 million recognized within other income were charged to the consolidated statement of profit or loss. Accordingly, this transaction was classified as a finance lease (Note 15).

The following are finance costs related to the property that is charged to the consolidated statement of profit or loss:

	December 31, 2025	December 31, 2024
Finance cost	277,805	937,430

12. CAPITAL WORK IN PROGRESS

Capital work in progress consists of platforms, electronic systems, and improvements to rented buildings. The movement of capital work in progress is as follows:

	December 31, 2025	December 31, 2024
Balance at the beginning of the year	51,062,073	119,813,847
Impact of acquisition through business combination under common control (Note 40)	118,500,002	-
Additions	185,845,000	165,399,192
Transferred to property and equipment (Note 11)	(103,434,182)	(172,690,122)
Transferred to intangible assets (Note 14)	(53,198,672)	(45,548,696)
Impairment during the year (A)	(2,743,573)	(15,912,148)
Balance at the end of the year	**196,030,648**	51,062,073

A) Impairment

During the year ended December 31, 2025, the Group recorded an impairment against its internally developed work in progress, amounting to ⃁ 2.7 million (December 31, 2024: ⃁ 15.9 million), due to the presence of indicators of impairment. Management conducted a study to assess the recoverable amount through forecasting the expected future cash flows of the assets which resulted in recoverable amount being less than the current value of the asset. Impairment will be classified under cost of revenue if presented by function in the consolidated statement of profit or loss.

All amounts in Saudi Riyals

13. RIGHT-OF-USE ASSETS AND LEASE LIABILITIES

The movement of right-of-use assets during the year are as follows:

	Buildings and land	Printers	Total
Balance as at January 1, 2024	229,867,034	931,703	230,798,737
Additions during the year	403,630,592	-	403,630,592
Disposals during the year	(1,044,535)	-	(1,044,535)
Depreciation during the year	(75,332,673)	(302,017)	(75,634,690)
Balance as at December 31, 2024	557,120,418	629,686	557,750,104
Impact of acquisition through business combination under common control (Note 40)	**41,981,692**	-	**41,981,692**
Additions during the year	**93,354,432**	-	**93,354,432**
Disposals during the year	**(2,040,924)**	-	**(2,040,924)**
Depreciation during the year	**(94,646,511)**	**(302,018)**	**(94,948,529)**
Balance as at December 31, 2025	**595,769,107**	**327,668**	**596,096,775**

The following is a classification of depreciation of right-of-use assets if presented by function in the consolidated statement of profit or loss:

	December 31, 2025	December 31, 2024
General and administrative expenses	**66,604,568**	54,639,518
Cost of revenue	**28,343,961**	20,995,172
	94,948,529	75,634,690

Expense relating to short-term leases amounts to ⃁ 12.6 million (2024: ⃁ 9.3 million).

The lease liability consists of the following:

	December 31, 2025	December 31, 2024
Lease liabilities - non current	**543,749,068**	481,013,080
Lease liabilities - current	**109,730,213**	85,001,803
	653,479,281	566,014,883

The following table outlines the remaining cash obligations of the Group for lease contracts. The table has been prepared based on the undiscounted cash flows for lease obligations as of the nearest date the Group can be required to make payments:

	As at December 31, 2025		
	Buildings and land	Printers	Total
First year	**111,018,360**	**645,663**	**111,664,023**
Second year	**105,686,754**	**37,722**	**105,724,476**
Third year	**81,677,049**	-	**81,677,049**
Fourth year	**77,931,745**	-	**77,931,745**
Fifth year	**67,134,386**	-	**67,134,386**
More than five years	**280,425,955**	-	**280,425,955**
	723,874,249	**683,385**	**724,557,634**

All amounts in Saudi Riyals

13. RIGHT-OF-USE ASSETS AND LEASE LIABILITIES (CONTINUED)

	As at December 31, 2024		
	Buildings and land	Printers	Total
First year	93,566,211	802,279	94,368,490
Second year	72,207,468	336,000	72,543,468
Third year	71,478,576	37,722	71,516,298
Fourth year	65,747,934	-	65,747,934
Fifth year	68,581,965	-	68,581,965
More than five years	285,618,371	-	285,618,371
	657,200,525	1,176,001	658,376,526

The following are the finance costs that were charged to the consolidated statement of profit or loss:

	December 31, 2025	December 31, 2024
Finance cost	**32,113,555**	27,509,830

14. INTANGIBLE ASSETS

Intangible assets consist of electronic platforms and systems, licenses and patents. The movement during the year is as follows:

	December 31, 2025	December 31, 2024
Cost		
Balance at the beginning of the year	**433,231,909**	524,111,142
Impact of acquisition through business combination under common control (Note 40)	**219,975,355**	-
Transferred from capital work in progress (Note 12)	**53,198,672**	45,548,696
Additions during the year	**9,728,058**	121,475
Disposals during the year (A)	**-**	(136,549,404)
Balance at the end of the year	**716,133,994**	433,231,909
Accumulated amortization		
Balance at the beginning of the year	**(362,619,268)**	(416,933,353)
Impairment during the year (B)	**(27,466,821)**	(5,431,328)
Amortization during the year	**(74,966,587)**	(37,226,686)
Disposals during the year (A)	**-**	96,972,099
Balance at the end of the year	**(465,052,676)**	(362,619,268)
Net book value at the end of the year	**251,081,318**	70,612,641

A) During 2024, intangible assets with a book value of ⃁ 39 million were disposed related to a contract with a government entity, as the contract includes the transfer of ownership of the platform and its related assets to the entity after the end of the contract period, and gains amounting to ⃁ 41.4 million recognized within other income were charged to the consolidated statement of profit or loss. Accordingly, this transaction was classified as a finance lease (Note 15).

All amounts in Saudi Riyals

14. INTANGIBLE ASSETS (CONTINUED)

B) Impairment

During the year ended December 31, 2025, the Group recorded an impairment of ⃁ 27.5 million in the value of internally developed platforms (December 31, 2024: ⃁ 5.4 million) due to indications of impairment. Management conducted a study to assess the recoverable value by estimating the expected future cash flows of the asset and it was found that the recoverable value is less than the current value of the asset. The impairment will be classified within the cost of revenue if presented by function.

The following is a classification of amortization if presented by function in the consolidated statement of profit or loss:

	December 31, 2025	December 31, 2024
Cost of revenue	66,944,667	27,067,960
General and administrative expenses	7,936,031	6,478,776
Research and development	85,889	3,679,950
	74,966,587	37,226,686

15. FINANCE LEASE RECEIVABLES

On February 8, 2023, one of the Group's companies entered into a revenue sharing agreement with a government entity. The effective date of this agreement entails the completion of the transitional phase to transfer existing services to the government entity, and that it will be responsible for implementing and maintaining all services, infrastructure, networks and systems. Accordingly, a transitional plan has been determined that details the procedures, responsibilities and preconditions.

The transitional phase has begun and in accordance with the agreement, electronic services and operational services will be provided for a period of five years from the effective date according to the terms and conditions of the agreement. The agreement may be extended for another period. During the term of the agreement, the Group grants the government entity a license to use the platform for electronic services in the Kingdom of Saudi Arabia with conditions that specify the mechanism of use. In addition, the government entity is responsible for implementing and maintaining all necessary services, infrastructure, networks, systems and communications, and the Group is entitled to a contractual financial consideration as a fixed percentage of the total fees for electronic services.

During the year ended December 31, 2024, the platform, infrastructure and related assets were transferred to the government entity and this transaction was classified as a finance lease so that the risks and rewards of ownership were transferred to the government entity. The Group derecognized the intangible assets and property and equipment related to the platform, where the carrying value was ⃁ 44.1 million, and a finance lease receivable was recognized based on the present value of future cash flows. This resulted in recording gains within other income in the amount of ⃁ 63.1 million in the consolidated statement of profit or loss (Note 10).

Lease interest is recognized on the effective interest rate, and an amount of ⃁ 8.2 million (2024:⃁ 2.5 million) was charged to the consolidated statement of profit or loss for the current year.

15.1 The following are the undiscounted cash flows for the lease of assets over the lease term:

	December 31, 2025	December 31, 2024
First year	33,577,271	29,967,602
Second year	32,090,936	32,090,936
Third year	17,107,135	32,090,936
Fourth year	-	19,230,466
	82,775,342	113,379,940

All amounts in Saudi Riyals

15. FINANCE LEASE RECEIVABLES (CONTINUED)

15.2 The following table shows the reconciliation of cash flows to the net investment balance:

	December 31, 2025	December 31, 2024
Cash flows	82,775,342	113,379,940
Interest income	(9,720,431)	(18,571,531)
Investment balance at end of year	73,054,911	94,808,409

15.3 Finance lease receivables are classified as follows:

	December 31, 2025	December 31, 2024
Finance lease receivables - non-current	45,470,575	73,409,363
Finance lease receivables - current	27,584,336	21,399,046
	73,054,911	94,808,409

16. INVESTMENTS IN ASSOCIATES AND JOINT VENTURES

16.1 Details of each of the Group's associates and joint ventures at the year-end are as follows:

			Ownership share percentage	
Company name	*Relationship*	*Country of Origin/ place of operations*	December 31, 2025	December 31, 2024
Sahel Al Madar Trading Company (A)	Associate	Kingdom of Saudi Arabia	30%	30%
Smart National Solution for Information Technology (B)	Joint Venture	Kingdom of Saudi Arabia	40%	24%
Omran Tech Business Solutions Company (C)	Joint venture	Kingdom of Saudi Arabia	60%	60%
Bayan Credit Information Company (D)	Associate	Kingdom of Saudi Arabia	40%	-

A) Sahel Al Madar Trading Company, established under the Companies Law in Saudi Arabia under Commercial Registration No. 1010586820. The company is engaged in directing goods transport vehicles, freight brokers. The Group invested an amount of ⃁ 14 million divided into ⃁ 60 thousand, representing an equity investment, according to which the Group obtained an ownership percentage representing 30% of the company, and an advance payment for future equity in the company (long term interest) representing the remaining amount of ⃁ 13.9 million, which is valued at fair value through profit or loss using the multiples method (fair value level 3).

The following is a summary of the book value of the Group's share in the company's net assets according to the equity method:

	December 31, 2025	December 31, 2024
Net (liability) / assets of Sahel Al Madar	(6,333,000)	1,633,115
The Group's share in the ownership of Sahel Al Madar	30٪	30٪
The book value of the Group's share	-	489,935

The Group discontinued recognizing its share of losses of Sahal Al Madar Trading Company as the carrying amount of the investment has been reduced to nil and accordingly no additional losses have been recognized. During the current year, the unrecognized share of losses amounted to ⃁ 4.8 million (December 31, 2024: ⃁ nil))

On December 22, 2025, the Group entered into a Share Purchase and Subscription Agreement to acquire additional stake in Sahel Al Madar Trading Company to increase the Group's ownership in the company to 60%. Completion of the transaction is subject to satisfaction of conditions precedent, including regulatory and other approvals, which were not satisfied as at the reporting date.

All amounts in Saudi Riyals

16. INVESTMENTS IN ASSOCIATES AND JOINT VENTURES (CONTINUED)

16.1 Details of each of the Group's associates and joint ventures as at the year-end are as follows: (continued)

B) Smart National Solutions for Information Technology (‹SNS›), established under the Companies Law in Saudi Arabia under Commercial Registration No. 1010463892. The main activities of the company are designing and programming special software, software maintenance and designing web pages. During 2020, the Group invested an amount of ⃁ 4.9 million, divided into ⃁ 49 thousand, representing an equity investment, according to which the Group obtained an ownership percentage representing 24% of the company, and an advance payment for future equity in the company (long term interest) representing the remaining ⃁ 4.8 million, valued at fair value through profit or loss using the multiples method (fair value level 3).

During the current year, the Group entered into a new shareholders' agreement related to its investment in SNS, which resulted in an increase in the Group's ownership from 24% to 40%. This increase was achieved by converting the remaining amount of the advance payment for future equity (long-term interests), after recording the fair value losses through profit or loss, and an additional investment of ⃁ 15 million. Under the new agreement, joint control over key strategic and operational decisions was established, which required the reclassification of the investment from an associate to a joint venture, noting that the reclassification process did not result in any financial impact

The following is a summary of the book value of the Group's share in the company's net assets according to the equity method:

	December 31, 2025	December 31, 2024
Net assets of Smart National Solutions	24,077,167	7,757,778
The Group's share in the ownership of Smart National Solutions	40%	24%
Group's share of net assets	9,630,867	1,861,867
Goodwill	11,257,389	-
Long term interest	-	3,168,670
Carrying value of Group's investment	20,888,256	5,030,537

C) Omran Tech Business Solutions Company is a limited liability holding company registered under commercial registration number 4030589802 dated 22 Jumada Al-Awwal 1446 H (corresponding to November 24, 2024). The company's headquarters is in Jeddah, Kingdom of Saudi Arabia, and its main activity is represented in communications activities, computer programming, computer consulting expertise activities, computer facilities management, in addition to data processing, website hosting and related activities, architectural engineering activities, market research and opinion polling.

The following is a summary of the book value of the Group's share in the company's net assets according to the equity method:

	December 31, 2025	December 31, 2024
Net assets of Omran Tech Business Solutions	6,990,237	50,000
The Group's share in the ownership of Omran Tech Business Solutions	60%	60%
The book value of the Group's share	4,194,142	30,000

D) As part of the Group's acquisition of Thiqah, the Group acquired a 40% effective interest in an associate, Bayan Credit Information Company (‹Bayan›). Bayan, a closed joint stock company and a Saudi Central Bank licensed institution, is registered in the Kingdom of Saudi Arabia, specializing in the provision of business-to-business credit information.

The following is a summary of the book value of the Group's share in the company's net assets according to the equity method:

	December 31, 2025	December 31, 2024
Net assets of Bayan Credit Information Company	41,608,535	-
The Group's share in the ownership of Bayan Credit Information Company	40%	-
The book value of the Group's share	16,643,414	-

All amounts in Saudi Riyals

16. INVESTMENTS IN ASSOCIATES AND JOINT VENTURES (CONTINUED)

16.2 The movements in the balance of investments in associates and joint ventures are as follows:

	December 31, 2025				
	Sahel Al Madar	Smart National Solutions	Omran Tech	Bayan Credit Information Company	Total
Investment using the equity method:					
Balance at the beginning of the year	-	-	30,000	-	30,000
Impact of acquisition through business combination under common control (Note 40)	-	-	-	22,567,389	22,567,389
Transfer from long term interest (Note 16.1 B)	-	1,990,231	-	-	1,990,231
Additions during the year		15,000,000	4,594,200		19,594,200
Share of profit / (loss)	-	3,898,025	(430,058)	(5,871,038)	(2,403,071)
Share of other comprehensive loss	-	-	-	(52,937)	(52,937)
	-	20,888,256	4,194,142	16,643,414	41,725,812
Long Term Interest:					
Balance at the beginning of the year	1,626,813	5,030,537	-	-	6,657,350
Loss at FVTPL(A)	(1,626,813)	(981,419)		-	(2,608,232)
Transfer to investment using the equity method (Note 16.1 B)	-	(1,990,231)	-	-	(1,990,231)
Share of loss		(2,058,887)		-	(2,058,887)
	-	-	-	-	-
Group's net investment balance	-	20,888,256	4,194,142	16,643,414	41,725,812

	December 31, 2024			
	Sahel Al Madar	Smart National Solutions	Omran Tech	Total
Investment using the equity method:				
Balance at the beginning of the year	-	-	-	-
Disposal during the year	-	-	-	-
Additions during the year	-	-	30,000	30,000
Share of (loss) / profit	-	-	-	-
	-	-	30,000	30,000
Long Term Interest:				
Balance at the beginning of the year	695,275	1,441,878	-	2,137,153
Additions during the year	4,500,000	-	-	4,500,000
(Loss) / gain at FVTPL (A)	(884,999)	2,549,291	-	1,664,292
Share of (loss) / profit	(2,683,463)	1,039,368	-	(1,644,095)
	1,626,813	5,030,537	-	6,657,350
Group's net investment balance	1,626,813	5,030,537	30,000	6,687,350

(A) The amount represents the Group's share of losses in excess of the value of the investment using the equity method, where losses are recognized by reducing other components of the Group's interest in associates.

All amounts in Saudi Riyals

17. OTHER FINANCIAL ASSETS

The Group's other financial assets balances consist of:

	December 31, 2025	December 31, 2024
Financial assets at FVTPL		
Money Market Funds (A)	**404,602,319**	480,597,586
Investment in venture capital fund (B)	**2,906,610**	-
Advance for share subscription (C)	**15,634,777**	-
	423,143,706	480,597,586
Financial assets at FVTOCI		
Unquoted equity investments (D)	**209,055,795**	230,879,131
	632,199,501	711,476,717
Other financial assets are presented in the statement of financial position as follows:		
Current	**404,602,319**	480,597,586
Non-current	**227,597,182**	230,879,131
	632,199,501	711,476,717

A) Investments in money market funds represent investments in public murabaha funds, aimed at achieving low-risk returns for unit holders while preserving capital and providing liquidity (fair value level 2).

B) During the current year, the Group signed an investment agreement in a closed venture capital fund for a total amount of ⃁ 13.1 million to be invested over a 5 year commitment period. The fund invests in early-stage technology-focused companies in Africa. As of December 31, 2025, the actual contribution amounted to ⃁ 2.9 million. The investment is classified as a debt instrument and measured at fair value using various valuation techniques such as discounted cash flow models and multiples method (fair value level 3).

C) During the current year, the Group entered into a Shareholders' Agreement to subscribe for preferred shares in an unquoted company for a total amount of ⃁15.8 million. As the shares had not been legally issued until the reporting date, the amount is classified as a debt instrument measured at FVTPL, to be reclassified to an equity instrument at FVTOCI upon the issuance of shares.

D) Investments in unquoted equity instruments represent venture capital investments in companies operating in the information technology sector in Saudi Arabia and abroad, and measured at fair value using various valuation techniques such as discounted cash flow models and multiples method (fair value level 3). Management has chosen to classify these investments in equity instruments at fair value through other comprehensive income, as short-term fluctuations in fair value do not align with the Group's strategy of holding these investments for medium to long-term purposes and realizing their potential performance over the long-term.

The movement in financial assets measured at fair value during the year is as follows:

	December 31, 2025	December 31, 2024
Balance at the beginning of the year	**711,476,717**	246,703,659
Additions	**18,664,590**	752,285,622
Proceeds	**(100,000,000)**	(304,000,000)
Gains on financial assets at FVTPL	**26,300,312**	32,547,323
Losses on financial assets at FVTOCI (Note 27)	**(24,242,118)**	(16,059,887)
Balance at the end of the year	**632,199,501**	711,476,717

All amounts in Saudi Riyals

18. ACCOUNTS RECEIVABLE

	December 31, 2025	December 31, 2024
Government receivables	2,363,370,268	1,673,873,147
Trade receivables	1,991,467,082	1,810,053,321
	4,354,837,350	3,483,926,468
Expected credit losses provision	(748,333,567)	(588,703,691)
	3,606,503,783	2,895,222,777

*The above amounts include balances with related parties (Note 34).

Accounts receivable ageing is as follows:

	December 31, 2025		December 31, 2024	
	Government	Private	Government	Private
0-90 days	867,867,853	963,305,119	611,162,270	958,827,639
91-180 days	346,217,867	225,045,533	217,773,573	152,996,353
181-365 days	389,350,664	205,900,428	200,034,358	229,367,158
More than 365 days	759,933,884	597,216,002	644,902,946	468,862,171
	2,363,370,268	1,991,467,082	1,673,873,147	1,810,053,321

The movement of expected credit losses provision is as follows:

	December 31, 2025	December 31, 2024
Balance at the beginning of the year	588,703,691	443,653,224
Impact of acquisition through business combination under common control (Note 40)	96,216,584	-
Provision for the year (Note 37-A)	63,413,292	145,050,467
Balance at the end of the year	748,333,567	588,703,691

19. CONTRACT ASSETS

Contract assets represent revenues generated by services performed by the Group that have not been invoiced to customers up to the date of the consolidated financial statements, and that revenue will be invoiced in subsequent financial periods.

Contract assets consist of the following:

	December 31, 2025	December 31, 2024
Government contract assets	1,046,421,253	574,765,469
Trade contract assets	296,827,163	193,848,805
	1,343,248,416	768,614,274
Expected credit losses provision	(170,051,091)	(126,946,581)
	1,173,197,325	641,667,693

*The above amounts include balances with related parties (Note 34).

All amounts in Saudi Riyals

19. CONTRACT ASSETS (CONTINUED)

The movement of expected credit losses is as follows:

	December 31, 2025	December 31, 2024
Balance at the beginning of the year	126,946,581	128,861,466
Impact of acquisition through business combination under common control (Note 40)	807,474	-
Provision / (reversal) for the year (Note 37-A)	42,297,036	(1,914,885)
Balance at the end of the year	170,051,091	126,946,581

20. PREPAID EXPENSES AND OTHER CURRENT ASSETS

Prepaid expenses and other current assets consist of the following:

	December 31, 2025	December 31, 2024
Prepaid expenses (Note 20.1)	174,539,426	89,960,938
Deferred costs	127,057,377	107,315,770
Advance to vendors	64,852,790	28,261,378
Employees receivable, net (A)	42,241,485	30,425,276
Accrued murabaha deposit income	16,693,741	24,876,409
Due from a related party (Note 34)	10,943,307	-
Letter of guarantee	5,550,790	27,486,356
Payments under settlement (B)	1,231,152	1,726,889
Other, net	4,171,022	695,032
	447,281,090	310,748,048

(A) Employee receivables and other balances are shown net after deducting the allowance for expected credit losses. (Note 37-A).

(B) These are amounts that the Group has transferred to its accounts that are not included in its assets as part of the operational processes in which the Group acts as an agent for these balances on behalf of the contracting parties, and these balances are settled when they are collected (Note 22.2).

20.1 These include long term prepayments related to software-as-a-service (SaaS) licenses and insurance, amortized over the term of the agreements. The movement of long term prepaid expenses is as follows:

	December 31, 2025	December 31, 2024
Balance at the beginning of the year	74,227,341	67,468,752
Additions during the year	98,025,910	22,737,301
Amortization during the year	(67,260,024)	(15,978,712)
Balance at the end of the year	104,993,227	74,227,341

Long term prepaid expenses are presented in the statement of financial position as follows::

	December 31, 2025	December 31, 2024
Current	66,982,487	55,157,094
Non-current	38,010,740	19,070,247
	104,993,227	74,227,341

All amounts in Saudi Riyals

21. MURABAHA DEPOSITS

The balance of murabaha deposits consists of deposits with a term of more than three months. The average commission is 5.57% annually (December 31, 2024: 5.85% annually), and the consolidated statement of profit or loss income has been charged with a total deposit income amounting to ⃁ 23.7 million during the year ended December 31, 2025 (December 31, 2024: ⃁ 110 million). All murabaha deposits mature within one year.

22. CASH AND CASH EQUIVALENTS

Cash and cash equivalents consist of the following:

	December 31, 2025	December 31, 2024
Cash at banks - unrestricted	517,371,678	218,572,393
Short term murabaha deposits (Note 22.1)	1,319,000,000	2,032,224,786
	1,836,371,678	2,250,797,179

22.1 The balance of short-term murabaha deposits consists of short-term deposits of three months and less. The average commission is 5.45% annually (2024: 5.54%). The consolidated statement of profit or loss was charged with total murabaha deposit income amounting to ⃁ 110.4 million during the year ended December 31, 2025 (December 31, 2024: ⃁ 35.5 million).

22.2 The Group holds balances on behalf of contracting parties as part of the operating and provisioning of services, which are not available for use in its operating activities. As the Group acts in the capacity of an agent, these balances have not been recognized as assets of the Group and are treated as off-balance sheet items in the consolidated statement of financial position. As at December 31, 2025, these cash balances amounted to ⃁ 12.5 billion (December 31, 2024: ⃁ 5.5 billion).

22.3 As part of the Group's acquisition of Thiqah, the Group acquired restricted balances representing deposits pertaining to use of services of one of the platforms. The contractual terms and conditions for these deposits were updated during the period and accordingly, they were not considered as restricted balances as at December 31, 2025. For further details of the acquisition refer to (Note 40).

23. SHARE CAPITAL

The issued and fully paid-up capital consists of 80,000,000 shares with a nominal value of ⃁ 10 per share (December 31, 2024: 80,000,000 shares with a par value of ⃁ 10 per share).

24. STATUTORY RESERVE

The Extraordinary General Assembly, in its meeting held on 22 Shawwal 1445H (corresponding to 1 May 2024), approved the transfer of the statutory reserve balance amounting to ⃁ 174,708,101 to retained earnings. During the year ended December 31, 2024, the relevant procedures were completed, and the statutory reserve balance was transferred to retained earnings.

All amounts in Saudi Riyals

25. TREASURY SHARES

On 16 February 2022, the Group purchased 2.4 million of its shares from the major shareholder at a value of ⃁ 128 per share, for a total cash consideration of ⃁ 307.2 million. The Group holds these shares as treasury shares to support future long-term incentive plans for employees (Note 26). The purchased shares will not have the right to vote in the Company's general meetings of shareholders and will not be entitled to any dividends during the period the Company holds them.

	December 31, 2025	December 31, 2024
The number of outstanding treasury shares at the beginning of the year	**2,289,942**	2,302,800
The number of shares purchased during the year	**-**	-
The number of shares settled and reissued during the year	**(150,432)**	(12,858)
	2,139,510	2,289,942

(A) During the current year, benefits were settled under the share-based payment plan for 150,432 shares (2024: 12,858 shares) and total expenses amounted to ⃁ 6.5 million (2024: ⃁ 1.7 million), which were charged to the consolidated statement of profit or loss.

26. SHARE BASED PAYMENT

Share-Based payment is one of the employee incentive programs which aims to attract, motivate and retain the Group's employees. The program provides a share-based payment plan for eligible employees participating in the program in which they are granted shares in the Company upon fulfillment of terms of service and performance. And the expenses related to the program is included in the employee benefits expense item in the consolidated statement of profit or loss, and recording the amount corresponding to the expenses in other reserves in equity, in accordance with the requirements of International Financial Reporting Standard (2): Share- Based Payment.

A) Long-term future incentive plans program

The Group announced the Long Term Incentive Plan Program for its employees, details of which are as follows:

Settlement method	Grant Date	Vesting Date	Average fair value of shares	Maximum number of granted shares
The first stage				
Equity method	December 1, 2022	March 31, 2025	322	150,432 shares
The Second stage				
Equity method	September 7, 2023	March 31, 2026	767	119,621 shares
The third stage				
Equity method	January 1, 2024	March 31, 2027	797	48,648 shares
Equity method	May 23, 2024	March 31, 2027	844	24,934 shares
The Fourth stage				
Equity method	January 1, 2025	March 31, 2028	1,091	67,483 shares
Equity method	August 12, 2025	March 31, 2028	880	29,180 shares

The following is the share-based payment expenses by program type:

	December 31, 2025	December 31, 2024
Long-term future incentive plans program- Tranche 1	**6,461,135**	21,361,159
Long-term future incentive plans program- Tranche 2	**32,350,374**	33,949,970
Long-term future incentive plans program- Tranche 3	**18,381,479**	17,914,941
Long-term future incentive plans program- Tranche 4	**17,009,019**	-
	74,202,007	73,226,070

All amounts in Saudi Riyals

27. OTHER RESERVES

Other reserves consist of the following:

	December 31, 2025	December 31, 2024
Employees end of service benefits remeasurement		
Opening balance	(61,751,060)	(58,823,985)
Remeasurement losses (Note 30)	(28,414,427)	(2,927,075)
Share of other comprehensive loss from associates and joint ventures (Note 16)	(52,937)	-
	(90,218,424)	(61,751,060)
Other financial assets revaluation reserve		
Opening balance	19,961,754	36,021,641
Loss on revaluation (Note 17)	(24,242,118)	(16,059,887)
	(4,280,364)	19,961,754
Share based payment		
Opening balance	102,243,668	35,628,822
Additions (Note 26)	74,202,007	73,226,070
Settlement (Note 25-A)	(48,496,268)	(6,611,224)
	127,949,407	102,243,668
Foreign exchange translation differences		
Balance at the beginning of the year	215,146	-
Remeasurement (loss) / gain	(734,012)	215,146
	(518,866)	215,146
Balance at the end of the year	32,931,753	60,669,508

28. EARNINGS PER SHARE

	December 31, 2025	December 31, 2024
Net profit attributable to equity holders of the parent company	2,090,353,004	1,826,871,586
Number of Shares		
Weighted average number of shares for calculation of basic earnings per share	77,823,397	77,693,994
Impact of potential ordinary shares	184,344	235,959
Weighted average number of shares for calculation of diluted earnings per share	78,007,741	77,929,953
EARNINGS PER SHARE:		
Basic	26.86	23.51
Diluted	26.80	23.44

28.1 Potential ordinary shares relate to share based payment program for eligible employees (Note 26). The diluted EPS for the comparative period has been recalculated to reflect the inclusion of only the potential dilutive ordinary shares arising from the active share based payment arrangements.

All amounts in Saudi Riyals

29. LONG TERM BORROWING

On Ramadan 27, 1446H (corresponding to March 27, 2025), the Group entered into a Shariah-compliant banking facilities agreement with a local bank to finance its expansion and acquisitions, with a maximum limit of ⃁ 1,900 million. During the current year, the total facility has been drawn down and utilized to fund the Group's acquisition of Thiqah Business Services Company. The facility is secured against a promissory note and is repayable in 5 annual installments starting from April 20, 2026. The facility carries a commission based on SAIBOR plus an agreed margin.

During the year ended December 31, 2025, finance cost amounting to ⃁ 73.4 million (2024: ⃁ nil) has been recognized in the consolidated statement of profit or loss. As of the reporting date, no breaches of facility terms have occurred, and no assets of the Group have been pledged as collateral.

The Group's long term borrowing consists of:

	December 31, 2025	December 31, 2024
Balance at the beginning of the year	-	-
Additions during the year	1,900,000,000	-
Add: Accrued finance cost	73,408,021	-
Long term borrowing - at amortized cost	**1,973,408,021**	-

Long term borrowing is classified as follows:

	December 31, 2025	December 31, 2024
Long term borrowing - non current	1,520,000,000	-
Long term borrowing - current	453,408,021	-
	1,973,408,021	-

30. END OF SERVICE BENEFITS PROVISION

	December 31, 2025	December 31, 2024
Financial assumptions:		
Discount rate	4.50% - 5.00%	5.25% - 5.50%
Salary increase rate	4.50% - 7.00%	5.00% - 6.00%

Employee end of service benefits provision movement in present value is as follows:

	December 31, 2025	December 31, 2024
Balance at the beginning of the year	387,235,689	360,689,127
Impact of acquisition through business combination under common control (Note 40)	184,008,165	-
Current service cost	44,168,729	63,853,550
Current service financing cost	25,338,042	14,041,594
Benefits paid	(72,823,120)	(54,275,657)
Actuarial losses (Note 27)	28,414,427	2,927,075
Balance at the end of the year	**596,341,932**	387,235,689

Following is a sensitivity analysis for the actuarial assumptions:

	Rate change	December 31, 2025		December 31, 2024	
		Increase	Decrease	Increase	Decrease
Discount rate	1%	(33,391,556)	37,561,384	(20,043,139)	22,322,881
Salary increase rate	1%	38,652,725	(35,012,103)	22,992,428	(21,029,532)
Employee turnover rate	10%	(8,231,073)	9,103,255	(3,975,445)	4,398,764

All amounts in Saudi Riyals

31. ACCOUNTS PAYABLE AND OTHER CURRENT LIABILITES

	December 31, 2025	December 31, 2024
Income sharing and business partners payables	1,326,165,042	1,104,224,854
Contractual cost	819,809,301	429,855,845
Accounts payable	592,032,971	349,712,751
Employee accruals	490,775,925	399,906,226
Value added tax (VAT)	143,486,452	123,912,401
Incentives & marketing	47,760,560	54,702,793
Customer deposits (Note 22.3)	24,024,341	-
Retention payable	13,551,773	9,353,418
Litigation provision (Note 36)	957,831	1,652,055
Others	23,184,253	6,259,680
	3,481,748,449	2,479,580,023

*The above amounts include balances with related parties (Note 34).

32. CONTRACT LIABILITIES

Contract liabilities are as follows:

	December 31, 2025	December 31, 2024
Advance from customers	803,669,740	254,481,483
Deferred revenue from subscriptions	603,771,678	355,324,832
	1,407,441,418	609,806,315

33. ZAKAT

33.1 Zakat and Tax position

- The Group has submitted all zakat returns up to the year ended December 31, 2024, with payment of the zakat due based on those returns and received the zakat certificates for those years. During the year ended December 31, 2025, the Group received final zakat assessments from Zakat, Tax, and Customs Authority (ZATCA) for the years 2021, 2022 & 2023 with no additional zakat liabilities or adjustments, resulting in a reversal of ⃁ 69 million related to prior year provisions. The Group received a notification requesting additional information from ZATCA regarding the year 2024. However, no assessment has been issued as of December 31, 2025.
- The Group files and pays VAT on a monthly basis and VAT returns have been submitted for all prior financial years. The Group underwent a VAT audit for the years 2018 to 2023. The audit process for these years has been concluded, and preliminary results have been received for the year 2023, resulting in no material differences.

33.2 Zakat Provision

The movement in the provision for zakat during the year was as follows:

	December 31, 2025	December 31, 2024
Balance at the beginning of the year	218,172,525	183,613,319
Impact of acquisition through business combination under common control (Note 40)	3,066,816	-
Charge during the year	115,104,748	127,019,914
Reversal during the year	(69,393,769)	-
	45,710,979	127,019,914
Paid during the year	(113,689,400)	(92,460,708)
Balance at the ending of the year	153,260,920	218,172,525

All amounts in Saudi Riyals

34. RELATED PARTY TRANSACTIONS AND BALANCES

The related parties consist of governmental entities, including ministries, authorities, and other government-affiliated entities (including the Public Investment Fund ‹the main shareholder›), government-related entities are subsidiaries of the main shareholder, associate companies, and members of the board of directors and senior management of the Company. All of these transactions are carried out according to the terms agreed by the management of the Group. As at the date of preparing the consolidated financial statements, balances with related parties were unguaranteed.

The transactions with related parties are similar to commercial transactions with external parties. Below are the details of the significant transactions with related parties during the year:

	December 31, 2025	December 31, 2024
Transactions with government entities (*)		
Service revenue (Note 5)	**4,034,733,426**	2,851,700,943
Services cost (Note 6)	**1,428,536,011**	1,240,958,685
Transactions with government related entities		
Service revenue (Note 5)	**472,715,182**	362,345,753
Services cost (Note 6)	**153,858,092**	104,094,165
Transactions with associates and joint ventures		
Service revenue (Note 5)	**896,597**	-
Services cost (Note 6)	**384,674**	1,258,466

* Service revenues from government entities include transactions with the main shareholder amounting to ⃁ 34.1 million (2024: ⃁ 22.4 million)

	December 31, 2025	December 31, 2024
Transaction with board of directors and senior executive managers		
Salaries and benefit	**20,306,945**	28,640,044
Remunerations and allowances	**17,358,987**	22,094,201
Share based payment expense	**10,051,982**	14,097,084
End of service benefits expense	**2,063,506**	5,510,158
	49,781,420	70,341,487

Balances	December 31, 2025	December 31, 2024
Due from Related Parties (*)		
Due from government entities classified under:		
Accounts receivable (Note 18)	**2,363,370,268**	1,673,873,147
Contract assets (Note 19)	**1,046,421,253**	574,765,469
Due from government related entities classified under:		
Accounts receivable (Note 18)	**386,518,216**	173,033,355
Contract assets (Note 19)	**77,719,295**	27,667,365
Due from associates classified under:		
Prepaid expenses and other current assets (Note 20)	**10,943,307**	-
Accounts receivable (Note 18)	**1,843,143**	-
Due to Related Parties:		
Due to government entities classified under:		
Accounts payable and other current liabilities (Note 31)	**1,163,773,421**	1,088,755,574
Due to government related entities classified under:		
Accounts payable and other current liabilities (Note 31)	**56,073,483**	15,272,260
Due to associates classified under:		
Accounts payable and other current liabilities (Note 31)	**2,377,046**	1,992,373

* Balance due from government entities include amounts due from the main shareholder included in accounts receivable amounting to ⃁ 3.7 million (December 31, 2024: ⃁ 3.9 million) and due balances included in contract assets amounting to ⃁ 15.3 million (December 31, 2024: ⃁ 18.8 million).

** Balance due to government entities include amounts due to the main shareholder included in accounts payable and other current liabilities amounting to ⃁ 69 thousand (December 31, 2024: ⃁ 242 thousand).

All amounts in Saudi Riyals

35. SEGMENT INFORMATION

The information regarding the Group's operating segments is described below in accordance with IFRS 8, where the standard requires the identification of operating segments on the basis of internal reports that are regularly reviewed by the Group's operating decision maker.

The Company's business includes the following:

1- Digital business: These are ready-to-use solutions in the form of technical services, portals, electronic applications, and related support work, which were developed by the Company in cooperation with a large number of facilities in the public and private sectors with the aim of creating integrated services that cover a large segment of society, by creating advanced services that contribute to solving an existing problem or filling an existing service gap, by converting traditional procedures into electronic transactions. In addition to integrated technology businesses, entitlement engines and digital platforms, The Group provides integrated technology business solutions to clients from the public and private sectors.
2- Business process outsourcing: The Group seeks through business attribution solutions to enhance its competitive advantage in the field of operation and service provision in the areas of competence; and that is through the management and the total operation of services, or partial support for them in specific areas, and their progression towards a digital vision.
3- Professional services: These include advisory services and professional services in data analysis and artificial intelligence, through which The Group understands the problems of the facility and develops a comprehensive action plan to develop its overall performance and raise customer satisfaction levels.

Below are the summarized financial data for these sectors:

	December 31, 2025	December 31, 2024
Revenue		
Digital business	**6,724,579,826**	5,469,457,871
Business process outsourcing	**2,557,943,322**	1,784,764,474
Professional services	**182,361,840**	152,572,057
	9,464,884,988	7,406,794,402
Cost		
Direct cost	**(5,787,332,790)**	(4,375,702,533)
Operating expenses (except depreciation and amortization, ECL and impairment)	**(1,257,259,920)**	(967,708,791)
Expected credit loss (ECL)	**(105,710,338)**	(142,748,596)
Depreciation and amortization	**(254,424,318)**	(198,838,582)
Impairment of non-current assets	**(30,210,394)**	(21,343,476)
Other income, net	**106,088,644**	253,415,958
Zakat	**(45,710,979)**	(127,019,914)
	(7,374,560,095)	(5,579,945,934)
Net profit	**2,090,324,893**	1,826,848,468

Below is an analysis of gross profit by segments:

	December 31, 2025	December 31, 2024
Digital business	**3,165,568,655**	2,579,811,507
Business process outsourcing	**475,346,241**	427,970,343
Professional services	**36,637,302**	23,310,019
	3,677,552,198	3,031,091,869

All amounts in Saudi Riyals

35. SEGMENT INFORMATION (CONTINUED)

The following is an analysis of the Group's assets and liabilities on the basis of segments

	December 31, 2025	December 31, 2024
Assets		
Digital business	8,445,428,101	7,055,076,534
Business process outsourcing	3,212,531,782	2,302,175,144
Professional services	229,028,988	196,803,333
	11,886,988,871	9,554,055,011
Liabilities		
Digital business	5,872,572,692	3,146,343,268
Business process outsourcing	2,233,850,812	1,026,698,042
Professional services	159,256,517	87,768,125
	8,265,680,021	4,260,809,435

36. CONTINGENT LIABILTIES

- The Group has facilities agreements with local banks to meet the working capital requirements and support the Group's business requirements in the form of cash withdrawals and letters of guarantee with a maximum limit of ⃁ 700 million as of December 31, 2025 (December 31, 2024: ⃁ 500 million). The outstanding bank letters of guarantee amounted to ⃁ 247 million as of December 31, 2025 (December 31, 2024: ⃁ 80 million).
- The Group has operating and capital commitments amounting to ⃁ 2.4 billion (December 31, 2024: ⃁ 2.4 billion).
- In the normal course of business, the Group is a party to legal cases either as a plaintiff or defendant. As on December 31, 2025, the Group recorded a provision against legal cases amounting to ⃁ 1 million (December 31, 2024: ⃁ 2 million), which is the best estimate of management. Over the provisions of these issues and management does not expect that there will be any additional liability over the amount recorded as a provision for these issues.
- As of December 31, 2025, the associates and joint ventures have contingent liabilities amounting to ⃁ 0.6 million (December 31, 2024: ⃁ 0.2 million). The Group discloses its share of contingent liabilities from its associates and joint ventures.

37. RISK MANAGEMENT

The Group's activities are exposed to a number of financial risks: market risk (including currency risk, fair value, cash flow interest rate risk and price risk), credit risk and liquidity risk. Risk management is carried out by senior management in accordance with the policies approved by the Board of Directors. The most important types of risk are credit risk, currency risk and fair value risk.

The Board of Directors has overall responsibility for establishing and monitoring the Group's risk management framework. Executive management is responsible for developing and monitoring the Group's risk management policies, and any changes and compliance issues are reported to the Board of Directors through the Audit Committee.

The Group Audit Committee oversees how management monitors compliance with The Group's risk management policies and procedures and reviews the adequacy of the risk management framework in relation to the risks faced by the Group. The internal audit department assists The Group Audit Committee in carrying out its oversight role. The internal audit department performs regular and ad hoc reviews of risk management controls and procedures, and the results are reported to the Audit Committee.

All amounts in Saudi Riyals

37. RISK MANAGEMENT (CONTINUED)

A. Credit risk

Credit risk is the risk that the Group will incur financial loss in the event that a customer or counterparty to a financial instrument fails to meet its contractual obligations, and arises primarily from the Group's receivables from customers as well as employees. The carrying amounts of accounts receivable, contract assets and employees receivable represent the maximum exposure to credit risk.

The movement in the expected credit loss in respect of accounts receivable, contract assets and employee receivables during the year, as follows:

	December 31, 2025	December 31, 2024
Balance at the beginning of the year	**718,659,648**	575,911,052
Impact of acquisition through business combination under common control (Note 40)	**97,024,058**	-
Provision for accounts receivable (Note 18)	**63,413,292**	145,050,467
Provision / (reversal)for contract assets (Note 19)	**42,297,036**	(1,914,885)
Reversal for other receivables (Note 20)	-	(407,000)
Provision for employees (Note 20)	**10**	20,014
Balance at the end of the year	**921,394,044**	718,659,648

The exposure to credit risk for trade receivables and contract assets by type of customer (governmental or non-governmental) was as follows:

	Accounts Receivable		Contract Assets	
	December 31, 2025	December 31, 2024	December 31, 2025	December 31, 2024
Government	**2,363,370,268**	1,673,873,147	**1,046,421,253**	574,765,469
Private	**1,991,467,082**	1,810,053,321	**296,827,163**	193,848,805
	4,354,837,350	3,483,926,468	**1,343,248,416**	768,614,274

The following tables present information about exposure to credit risk and expected credit losses for receivables:

Government receivables

	December 31, 2025		December 31, 2024	
	Book value	ECL	Book value	ECL
Low risk	**2,192,448,021**	**133,371,956**	1,503,919,931	41,185,966
Loss	**170,922,247**	**170,922,247**	169,953,216	169,953,216
	2,363,370,268	**304,294,203**	1,673,873,147	211,139,182

Trade account receivable

	December 31, 2025		December 31, 2024	
	Book value	ECL	Book value	ECL
1-90 days	**963,305,113**	**4,275,288**	958,827,639	16,967,757
91-180 days	**225,045,533**	**5,341,913**	152,996,353	3,785,571
181 - 365 days	**205,900,428**	**43,894,007**	229,367,158	38,137,025
More than 365 days	**597,216,008**	**390,528,156**	468,862,171	318,674,156
	1,991,467,082	**444,039,364**	1,810,053,321	377,564,509

The following tables present information about exposure to credit risk and expected credit losses for contract assets:

Government contract assets

	December 31, 2025		December 31, 2024	
	Book value	ECL	Book value	ECL
Low risk	**948,778,836**	**43,453,735**	478,855,324	2,110,599
Loss	**97,642,417**	**97,642,417**	95,910,145	95,910,145
	1,046,421,253	**141,096,152**	574,765,469	98,020,744

All amounts in Saudi Riyals

37. RISK MANAGEMENT (CONTINUED)

A. Credit risk (continued)

The following tables present information about exposure to credit risk and expected credit losses for contract assets: (continued)

	Trade contract assets			
	December 31, 2025		December 31, 2024	
	Book value	**ECL**	Book value	ECL
Low risk	**268,682,078**	**809,854**	165,693,560	770,591
Loss	**28,145,085**	**28,145,085**	28,155,245	28,155,246
	296,827,163	**28,954,939**	193,848,805	28,925,837

The amount of provision for credit loss also includes provisions related to employee receivables amounting to ⃁ 1,183,978 as at December 31, 2025 (December 31, 2024: ⃁ 1,183,968).

The amount of provision for credit loss also includes provisions related to other receivables amounting to ⃁ 1,825,412 as at December 31, 2025 (December 31, 2024: ⃁ 1,825,412).

The Group uses a dedicated matrix for the purpose of calculating expected credit losses for trade receivables, contract assets and employee receivables. This matrix is based initially on historical default rates. The Group calibrates the matrix to adjust the historical experience of credit losses, taking into account the information expected in the future. At the date of each financial report, The Group updates the historical default rates and this is reflected in future estimates, in addition, it calculates additional provisions for specific cases. The Group implemented a dedicated matrix for the purpose of calculating the present value of money for governmental receivables. Through this matrix, the Group estimates the expected collection date by applying certain assumptions and inputs such as historical collection experience per client, which is reflected within the low-risk category of the risk items.

Low value financial assets

A financial asset is considered impaired when one or more events that have a negative impact on the estimated future cash flows of that financial asset have occurred. Evidence that a financial asset is impaired includes observable data about the following events:

- Significant financial difficulties for the issuer of securities or the lender;
- A breach of contract, such as a late payment or default;
- The lender(s) granted the borrower, for economic or contractual reasons related to the borrower's financial difficulty, a privilege(s) that the lender would not consider;
- It becomes probable that the borrower will enter bankruptcy or other financial reorganization; and
- The disappearance of an active market for that financial asset due to financial difficulties.

Definition of default

The Group considers the following to be default events, for the purpose of managing credit risk internally because past experience indicates that receivables that meet any of the following criteria are generally unrecoverable.

▪ When there is a non-compliance with the financial commitments of the counterparty; or

▪ Information prepared internally or obtained from external sources indicates that the debtor is unlikely to pay its debt (without regard to any collateral held by the Group).

Write-off policy

The Group writes off a financial asset when there is information indicating that the counterparty is in severe financial distress and there is no realistic prospect of recovery. For example: when the counterparty is under liquidation or has entered into bankruptcy proceedings. Written-off financial assets may continue to be subject to enforcement activities under The Group's recovery procedures, subject to legal advice where appropriate. Any recoveries are recognized in the consolidated statement of profit or loss.

B. Liquidity risk

Liquidity risk represents the Group's inability to meet its financial obligations as they fall due. The Group minimizes liquidity risk by ensuring that the necessary liquidity is always available. Except for the obligation to purchase property and lease obligations, all other financial liabilities are expected to be settled in the following 12 months.

All amounts in Saudi Riyals

37. RISK MANAGEMENT (CONTINUED)

B. Liquidity risk (continued)

The Group ensures that it has sufficient cash on demand to meet the expected operating expenses, including servicing its financial obligations, and this does not include the potential impact of emergency conditions that cannot be reasonably foreseen such as natural disasters. In addition, the Group maintains various lines of credit.

The Group monitors the risk of shortfall in liquidity using forecast models to determine the effects of operating activities on the overall availability of liquidity. The Group's objective is to maintain a balance between continuity of funding and flexibility through the use of revolving credit facilities and other sources of liquidity if needed.

The table below summarizes the maturities of the Group's financial liabilities based on undiscounted contractual payments:

	December 31, 2025			
	Within one year	Between 1 and 5 years	More than 5 years	Total
Accounts payable and other current liabilities	3,457,609,490	-	-	3,457,609,490
Long term borrowing	484,663,780	1,729,499,610	-	2,214,163,390
Lease liabilities	111,664,023	265,333,270	347,560,341	724,557,634
	4,053,937,293	1,994,832,880	347,560,341	6,396,330,514

	December 31, 2024			
	Within one year	Between 1 and 5 years	More than 5 years	Total
Accounts payable and other current liabilities	2,471,668,288	-	-	2,471,668,288
Lease liabilities	94,368,490	278,389,664	285,618,372	658,376,526
	2,566,036,778	278,389,664	285,618,372	3,130,044,814

The table below summarizes the net debt calculation as analyzed by the Group's management:

	December 31, 2025					
	Cash and cash equivalents	Murabaha deposits	Other financial assets	Long term borrowing	Lease liabilities	Net Cash / (Debt)
At December 31, 2024	2,250,797,179	1,426,071,000	480,597,586	-	(566,014,883)	3,591,450,882
Additions	-	-	-	(1,900,000,000)	-	(1,900,000,000)
Repayments	-	-	-	-	70,326,367	70,326,367
Net cash flows	2,726,646,741	645,244,245	(100,000,000)	-	15,482,093	3,287,373,079
	2,726,646,741	645,244,245	(100,000,000)	(1,900,000,000)	85,808,460	1,457,699,446
Other transactions:						
Additions	-	-	-	-	(93,354,412)	(93,354,412)
Impact of acquisition through business combination under common control (Note 40)	(3,141,074,348)	100,000,000			(47,804,891)	(3,088,879,239)
Income from murabaha deposits	-	134,684,755	-	-	-	134,684,755
Finance costs				(73,408,021)	(32,113,555)	(105,521,576)
Fair value changes	-	-	24,004,733	-	-	24,004,733
Foreign exchange adjustments	2,106	-	-	-	-	2,106
	(3,141,072,242)	234,684,755	24,004,733	(73,408,021)	(173,272,858)	(3,129,063,633)
At December 31, 2025	1,836,371,678	2,306,000,000	404,602,319	(1,973,408,021)	(653,479,281)	1,920,086,695

All amounts in Saudi Riyals

37. RISK MANAGEMENT (CONTINUED)

B. Liquidity risk (continued)

The table below summarizes the net debt calculation as analyzed by the Group's management: (continued)

	December 31, 2024					
	Cash and cash equivalents	Murabaha deposits	Other financial assets	Long term borrowing	Lease liabilities	Net Cash / (Debt)
At December 31, 2023	384,394,607	3,056,113,638	18,797,335	-	(224,079,461)	3,235,226,119
Repayments	-	-	-	-	81,286,841	81,286,841
Net cash flows	1,866,403,437	(1,775,518,280)	435,533,652	-	7,918,159	534,336,968
	1,866,403,437	(1,775,518,280)	435,533,652	-	89,205,000	615,623,809
Other transactions:						
Additions	-	-	-	-	(403,630,592)	(403,630,592)
Income from murabaha deposits	-	145,475,642	-	-	-	145,475,642
Finance costs	-	-	-	-	(27,509,830)	(27,509,830)
Fair value changes	-	-	26,266,599	-	-	26,266,599
Foreign exchange adjustments	(865)	-	-		-	(865)
	(865)	145,475,642	26,266,599	-	(431,140,422)	(259,399,046)
At December 31, 2024	2,250,797,179	1,426,071,000	480,597,586	-	(566,014,883)	3,591,450,882

C- Market risk

Managing the risks of fluctuation in currency exchange rates

Currency risk is the risk that a financial instrument will fluctuate as a result of changes in foreign exchange rates. The Group did not carry out significant transactions in foreign currencies except the US dollar, the British pound and the Euro during the year. The Group was not exposed to the risks of fluctuation in currency exchange rates during the period, and the management does not expect that the Group will be subject in the future to transactions related to these risks substantially.

Interest rate risk

It is the exposure to various risks associated with the impact of fluctuations in the prevailing interest rates on the financial position and cash flows of the Group. The Group's interest rate risk arises from bank deposits, short-term bank debt and long-term debt which are at floating interest rates. All debts and deposits are subject to regular re-pricing. Management monitors changes in interest rates and believes that the fair value and cash flow interest rate risks are not significant to the Group.

Interest Rate Sensitivity Analysis

For rate deposits, the analysis is prepared assuming that the amount of the deposit outstanding at the end of the reporting period was due throughout the year. An increase or decrease of 50 basis points represents management's assessment of a reasonable possible change in interest rates.

On December 31, 2025, if the Group's short-term deposit rates were 50 basis points higher/lower with all other variables held constant, the profit for the year would be ⃁ 18.1 million higher/lower, as a primary result of higher/lower interest income on variable rate deposits (2024: ⃁ 17.3 million).

On December 31, 2025, if the Group's long-term borrowing rate was 50 basis points higher/lower with all other variables held constant, the profit for the year would be ⃁ 6.6 million lower/ higher, as a result of higher/lower interest expense on the variable rate borrowing.

D - Capital management

The Group's objective when managing capital is to protect the Group's ability to continue as a going concern so that it can continue to provide returns for shareholders and benefits for other stakeholders; and to maintain a strong capital base to support the sustainable development of its business. The amount of capital (Total equity + net cash) that the Group managed as at December 31, 2025, was ⃁ 5.5 billion (December 31, 2024: ⃁ 8.9 billion).

38. FAIR VALUE OF FINANCIAL INSTRUMENTS

Below table shows the book values and fair values of financial assets and liabilities, including their levels in the fair value hierarchy. It does not include fair value information for financial assets and financial liabilities that are not measured at fair value. If the book value reasonably approximates the fair value, there were no reclassifications of financial assets measured at fair value through the fair value hierarchy levels during the year:

All amounts in Saudi Riyals

38. FAIR VALUE OF FINANCIAL INSTRUMENTS (CONTINUED)

	December 31, 2025						
	Book value			Fair value			
	At fair value	At amortized cost	Total	Level 1	Level 2	Level 3	Total
Financial assets							
Accounts receivable	-	3,606,503,783	3,606,503,783	-	-	-	-
Murabaha deposits	-	2,306,000,000	2,306,000,000	-	-	-	-
Cash and cash equivalents	-	1,836,371,678	1,836,371,678	-	-	-	-
Other financial assets	632,199,501	-	632,199,501	-	404,602,319	227,597,182	632,199,501
Finance lease receivables	-	73,054,911	73,054,911	-	-	-	-
Prepaid expenses and other current assets	-	64,486,016	64,486,016	-	-	-	-
Total	632,199,501	7,886,416,388	8,518,615,889	-	404,602,319	227,597,182	632,199,501
Financial liabilities							
Accounts payable and other current liabilities	-	3,481,748,449	3,481,748,449	-	-	-	-
Long term borrowing	-	1,973,408,021	1,973,408,021	-	-	-	-
Lease liabilities	-	653,479,281	653,479,281	-	-	-	-
Total	-	6,108,635,751	6,108,635,751	-	-	-	-

	December 31, 2024						
	Book value			Fair value			
	At fair value	At amortized cost	Total	Level 1	Level 2	Level 3	Total
Financial assets							
Accounts receivable	-	2,895,222,777	2,895,222,777	-	-	-	-
Murabaha deposits	-	1,426,071,000	1,426,071,000	-	-	-	-
Cash and cash equivalents	-	2,250,797,179	2,250,797,179	-	-	-	-
Other financial assets	711,476,717	-	711,476,717	-	480,597,586	230,879,131	711,476,717
Finance lease receivables	-	94,808,409	94,808,409	-	-	-	-
Prepaid expenses and other current assets	-	82,788,041	82,788,041	-	-	-	-
Total	711,476,717	6,749,687,406	7,461,164,123	-	480,597,586	230,879,131	711,476,717
Financial liabilities							
Accounts payable and other current liabilities	-	2,479,580,023	2,479,580,023	-	-	-	-
Lease liabilities	-	566,014,883	566,014,883	-	-	-	-
Total	-	3,045,594,906	3,045,594,906	-	-	-	-

All amounts in Saudi Riyals

39. COMPARATIVE FIGURES

As part of the regular review of the financial disclosures and presentation, certain comparative figures have been reclassified and adjusted to conform to the current period presentation of the consolidated financial statements. The reclassification had no impact on the net assets of the Group.

1. Consolidated statement of profit or loss

	Amount as reported December 31, 2024	Reclassification	**Amount after reclassification**
Cost of revenue	4,381,074,053	(5,371,520)	**4,375,702,533**
General and administrative	551,198,293	5,371,520	**556,569,813**
	4,932,272,346	-	**4,932,272,346**

2. Segment information

Gross profit

	Amount as reported December 31, 2024	Reclassification	**Amount after reclassification**
Digital business	2,574,439,987	5,371,520	**2,579,811,507**
Business process outsourcing	427,970,343	-	**427,970,343**
Professional services	23,310,019	-	**23,310,019**
	3,025,720,349	5,371,520	**3,031,091,869**

40. ACQUISITION OF THIQAH BUSINESS SERVICES COMPANY

On Rajab 21, 1446H (corresponding to January 21, 2025), the Company entered into a Share Purchase Agreement (the ‹SPA›) with Public Investment Fund (‹PIF›) to acquire the entire ownership stake held by PIF in Thiqah Business Services Company (‹Thiqah›), representing 100% of the issued share capital of Thiqah, for a consideration of ⃁ 3,400 million subject to certain adjustments as agreed in the SPA.

The completion of the acquisition was subject to certain approvals and satisfaction of conditions precedent as stipulated in the SPA which were considered substantive in nature. The acquisition was completed on Shawwal 23, 1446H (corresponding to April 21, 2025), upon satisfaction of all the required approvals and conditions, and the adjusted purchase consideration amounting to ⃁ 3,385.9 million determined as per the SPA was paid to PIF. The transaction was financed through the Company's own resources and credit facilities obtained during the period, as disclosed in (Note 29). Thiqah's financial information was consolidated as of April 30, 2025, taking into account the materiality of amounts between the acquisition date and the date of consolidation.

The transaction is classified as a business combination under common-controlled entities. The Company accounts for such business combinations using the pooling of interest method based on the book values of the net assets acquired as of the acquisition date, with any excess of the consideration paid over the net assets acquired being charged to retained earnings.

All amounts in Saudi Riyals

40. ACQUISITION OF THIQAH BUSINESS SERVICES COMPANY (CONTINUED)

The book values of the assets acquired, and liabilities assumed of Thiqah as of acquisition date were as follows:

Assets	
Property and equipment	35,443,902
Capital work in progress	118,500,002
Right-of-use assets	41,981,692
Intangible assets	219,975,355
Investment in associate	22,567,389
Amount due from related parties	41,048,814
Accounts receivable	293,675,042
Contract assets	396,670,164
Prepaid expenses and other current assets	61,276,380
Murabaha deposits	100,000,000
Cash and cash equivalents	270,296,757
	1,601,435,497
Liabilities	
Lease liabilities – non-current	43,779,554
End of service benefits provision	184,008,165
Accruals and other payables - non-current	14,125,041
Accounts payable and other current liabilities	523,252,921
Contract liabilities	565,072,571
Zakat	3,066,816
Lease liabilities - current	4,025,337
	1,337,330,405
Net assets acquired (Note 40-A)	**264,105,092**
Purchase consideration	**(3,385,912,787)**
Excess of purchase consideration charged to retained earnings (Note 40-A)	**(3,121,807,695)**

Analysis of cash flows on acquisition:

Net cash acquired with the subsidiary	270,296,757
Less: Restricted cash acquired from the subsidiary (Note 22.3)	(25,458,318)
Purchase consideration	(3,385,912,787)
Net cash outflow on acquisition – unrestricted	**(3,141,074,348)**

40-A Certain amounts and balances reported in Thiqah's financial statements were adjusted as a result of the review and assessment procedures performed by the company for the year ended 31 December 2025. Corrections relating to prior-year balances were identified, which resulted in a revision to the net assets acquired as at the acquisition date previously disclosed in the interim condensed consolidated financial statements for the periods ended June 30, 2025 and September 30, 2025. This led to a decrease of ⃁ 311.4 million, reducing the net assets acquired to ⃁ 264.1 million from ⃁ 575 million. The adjustments related to capital work in progress, intangible assets, trade receivables, contract assets, contract liabilities, trade payables and other current liabilities. Consequently, the total reduction in retained earnings after the adjustments amounted to ⃁ 3,121.8 million, compared to ⃁ 2,810 million.

All amounts in Saudi Riyals

41. DIVIDENDS

The following table shows details of the dividends to the Company's shareholders during the year:

Announcement Date	Distribution Date	Amount (⃁ per share)	Total Distributed	Type	Status
February 27, 2025	March 17, 2025	4	310,840,232	Interim	Paid
July 31, 2025	August 19, 2025	4.5	350,372,205	Interim	Paid

42. SUBSEQUENT EVENTS

There are no subsequent significant events since the year ended December 31, 2025 that could have a material impact on the financial position of the Group as shown in these consolidated financial statements.

43. APPROVAL OF THE CONSOLIDATED FINANCIAL STATEMENTS

These consolidated financial statements were approved by the Board of Directors on Ramadan 9, 1447 H (corresponding to February 26, 2026).